

MOODY'S | Better decisions

4Q & FY 2020 Investor Presentation

February 26, 2021

Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for the business and operations of Moody's Corporation (the "Company") that involve a number of risks and uncertainties. Such statements may include, among other words, "believe", "expect", "anticipate", "intend", "plan", "will", "predict", "potential", "continue", "strategy", "aspire", "target", "forecast", "project", "estimate", "should", "could", "may" and similar expressions or words and variations thereof that convey the prospective nature of events or outcomes generally indicative of forward-looking statements. The forward-looking statements and other information in this release are made as of the date hereof and the Company undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise, except as required by applicable law or regulation. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying examples of factors, risks and uncertainties that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the impact of COVID-19 on volatility in the U.S. and world financial markets, on general economic conditions and GDP in the U.S. and worldwide, and on the Company's own operations and personnel. Many other factors could cause actual results to differ from Moody's outlook, including credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to Brexit and uncertainty as companies transition away from LIBOR; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy, including those related to tariffs and trade barriers; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to Moody's Investors Service's rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; EU regulations modifying the liability standards applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate such acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are currently, or in the future could be, amplified by the COVID-19 outbreak, and are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2020, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

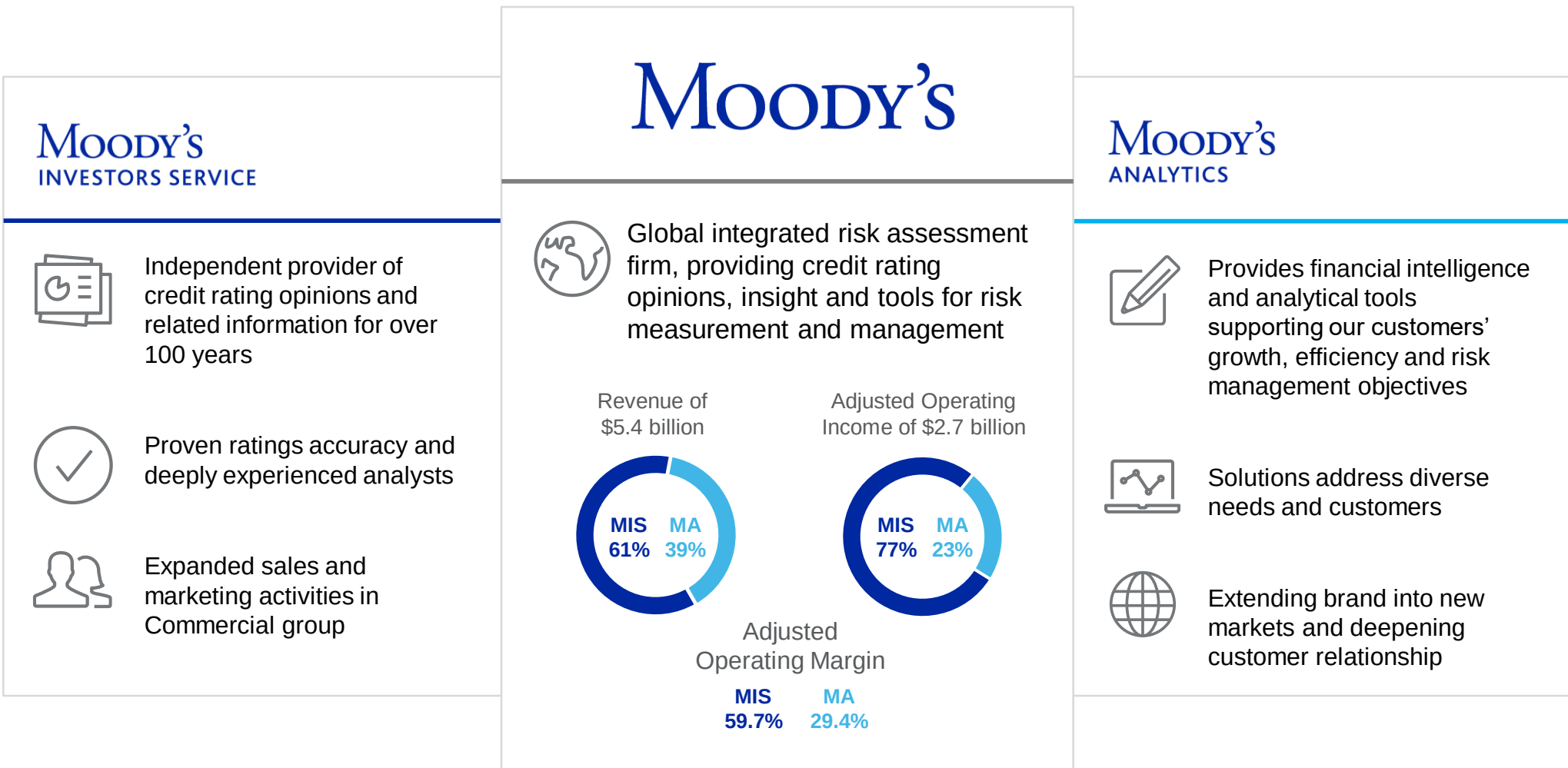
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1

Moody's Overview

Company Overview



Note: Financial data for the trailing twelve months ended December 31, 2020.

Moody's Has Evolved Over the Last 15 Years

...as our customers' needs changed and we expanded our capabilities



2006 – 2016

Expanded beyond rating agency

- » Established *Moody's Analytics*
- » Built the *ERS* business (e.g., Fermat, B&H)
- » Expanded *ratings to China* (i.e., CCXI)



2017 – 2020

Built-out substantial data and analytics capabilities

- » Complemented ERS business with *private company information* (i.e., BvD)
- » Accelerated *capability expansion*, including:
 - One of the world's *largest company databases* with ~400 million firms
 - Data on 18 million+ *U.S. properties*
 - *Physical risk scores* on 1 million+ global facilities
 - 20 years of *ESG data* on 5,000+ entities

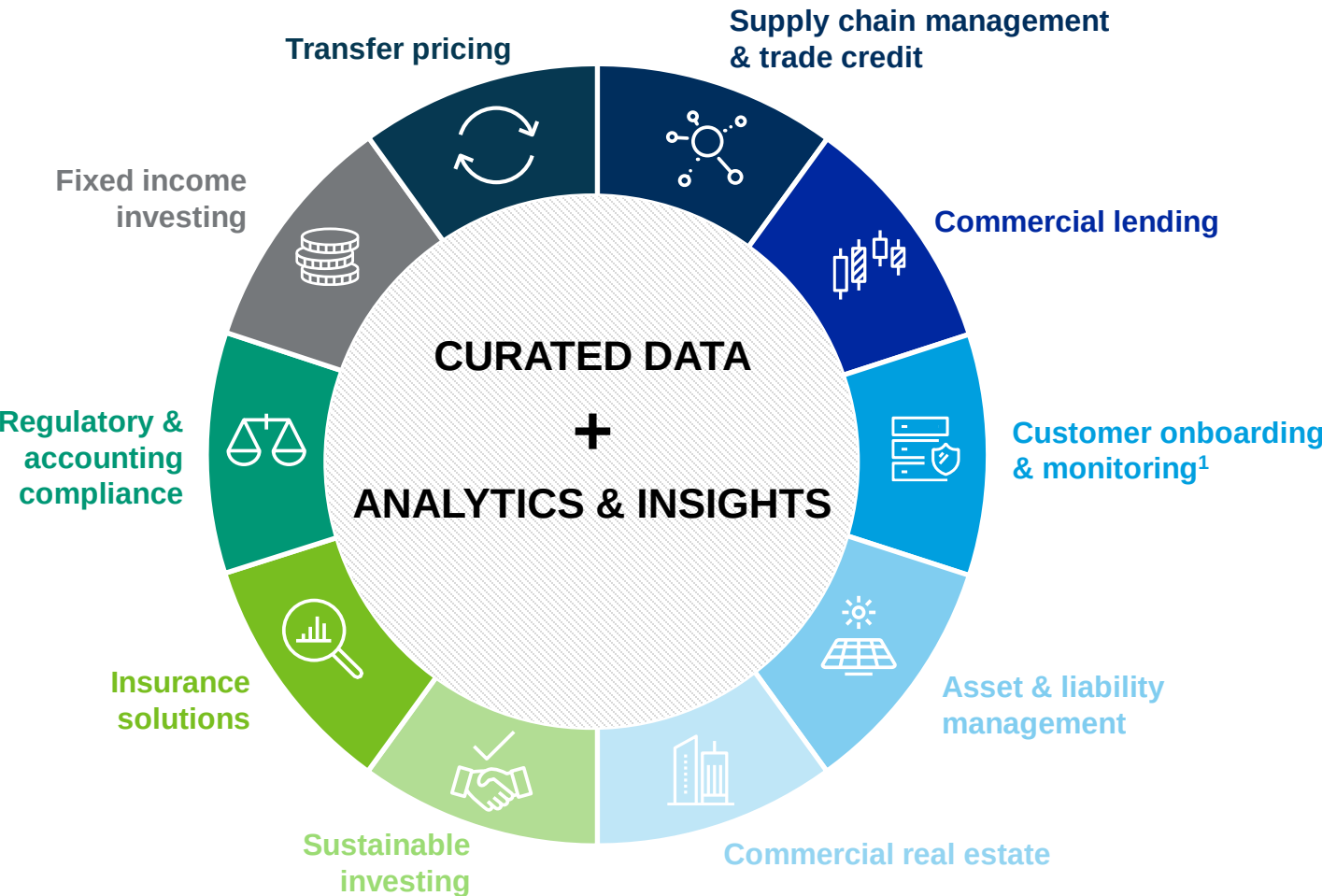


2021 and Beyond

Positioned to serve wide range of risk assessment markets

- » *Competitive differentiator*: integration of data and analytics combined with expertise and technology enablement
- » *Awarded #2 in the Chartis RiskTech100® 2021*
- » Further investment in capabilities and data, such as *private company, CRE and ESG*, to serve high growth risk assessment use cases (e.g., KYC and compliance)

Moody's as an Integrated Risk Assessment Business



1. KYC / Financial Crime.

\$35B+

Total Addressable Market



Helping customers make **BETTER DECISIONS**

CURATED DATA

Entities
~400 million
public & private entities

Securities
\$70+ trillion
rated debt

Economies
500+ million
economic, financial and
demographic time series

Properties
18+ million
commercial real
estate properties

People
13+ million
risk profiles

Key Strategic Investments To Drive Further Growth



COMMERCIAL REAL ESTATE

Develop new analytic tools to serve diverse CRE market, accelerate data aggregation and increase sales capacity



KYC AND COMPLIANCE

Deepen curated data sets, nurture the development of new use cases and modernize data intake process



CHINA AND LATIN AMERICA

Build out local talent and enhance domain-specific expertise across multiple segments



ESG

Expand coverage, data collection and analytics; enhance distribution, improve integration and scale globally



TECHNOLOGY

Secure and agile technology platform, leveraging new capabilities to improve operational efficiency and promote interoperability



PRODUCT DEVELOPMENT & OTHER

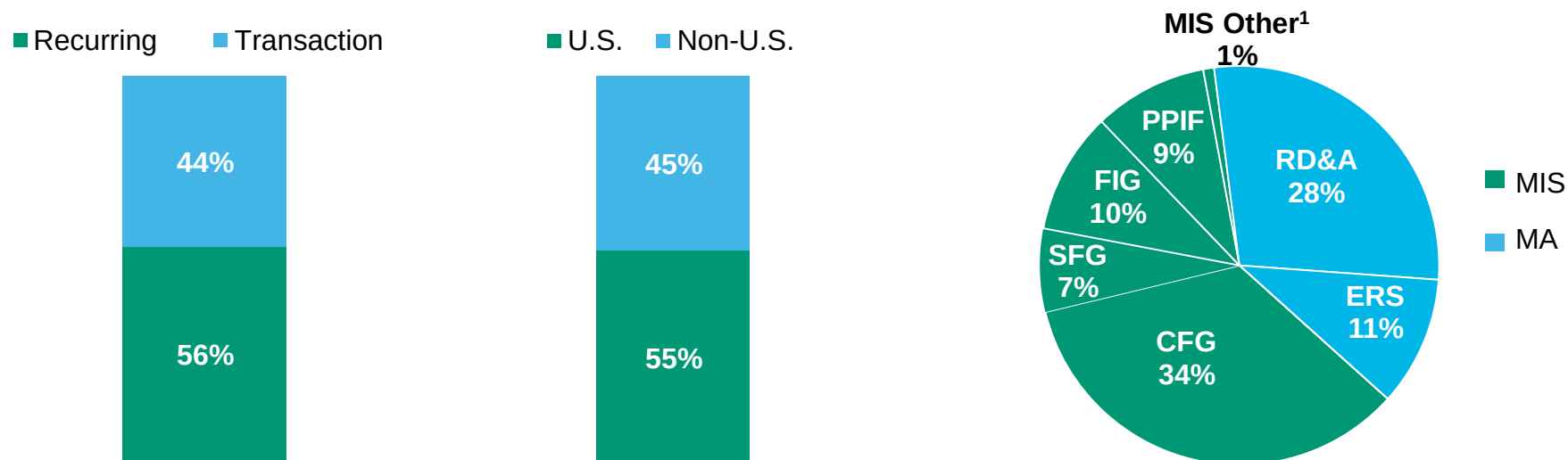
Enable greater interoperability of Moody's products, increased R&D and process improvements

2

Financial Overview

Moody's Corporation Financial Profile

Full Year 2020 Revenue: \$5.4 billion



Full Year 2021 Guidance as of February 12, 2021²

Revenue	» Increase in the mid-single-digit % range	Effective Tax Rate	» 20% - 22%
Operating Expenses	» Increase in the mid-single-digit % range	Diluted EPS	» \$9.70 - \$10.10
Operating Margin	» Approximately 45%	Adjusted Diluted EPS ³	» \$10.30 - \$10.70
Adjusted Operating Margin ³	» 49% - 50%	Share Repurchases	» Approximately \$1.5 billion

1. MIS Other consists of non-ratings revenue from ICRA, KIS Pricing and KIS Research revenue as well as revenue from providing ESG research, data and assessments. During 2020, the company increased its stake in V.E from 69.2% to 99.8%. 2020 includes five quarters of results for VE and FourTwentySeven due to the close of a financial reporting lag pursuant to the integration of these businesses. The incremental revenue resulting from the closing of this reporting lag was not material to Moody's financial results.
2. See press release titled "Moody's Corporation Reports Results for Fourth Quarter and Full Year 2020; Sets Outlook for Full Year 2021" from February 12, 2021 for Moody's complete full year 2021 guidance.
3. These metrics are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP.

Macro Assumptions Underpinning Our Outlook¹

2021 GDP

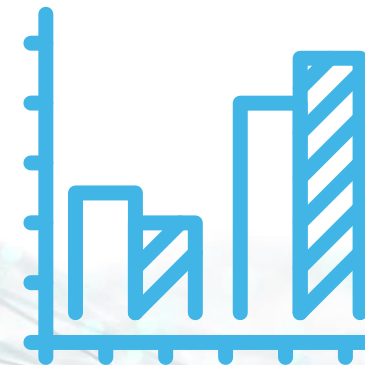
4.0% – 5.0% United States

3.5% – 4.5% Euro area

4.5% – 5.5% Global



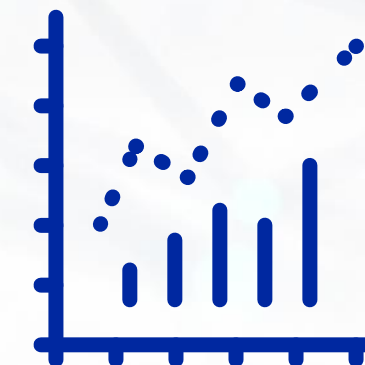
Benchmark interest rates remain low; U.S. high-yield spreads below 450 bps



U.S. unemployment rate of 5% - 6% by year-end



Global high yield default rate falling below 5% by year end

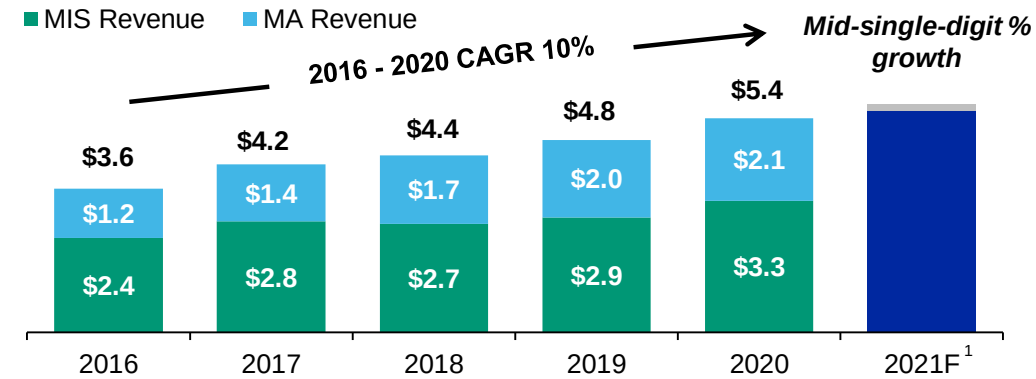


1. Guidance as of February 12, 2021. Refer to Table 12 – “2021 Outlook” in the press release for a complete list of guidance and a reconciliation between adjusted measures to GAAP, as well as assumptions used by the Company with respect to its guidance.
Sources: High yield spreads, default rate and unemployment assumptions as of “January 2021 Default Report”; GDP assumption as of February 12, 2021 from Moody’s Investors Service.

Financial Performance¹

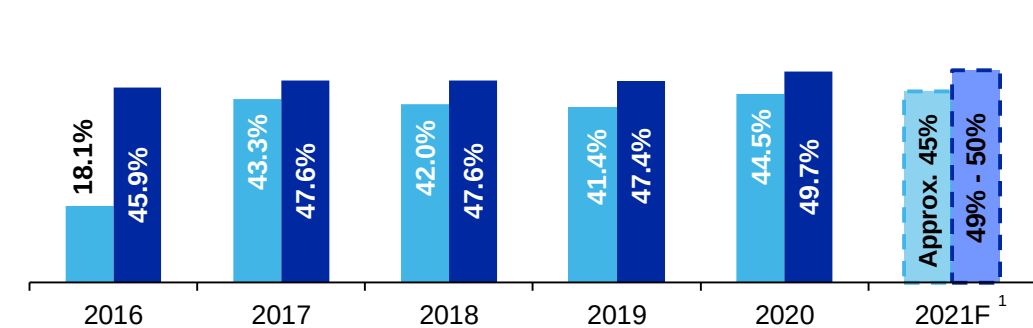
Revenue²

\$ Billions



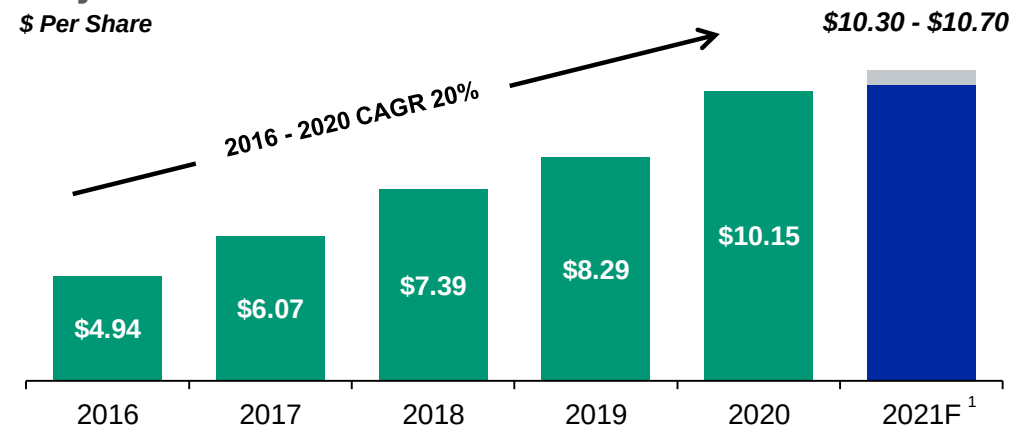
Operating Margin⁴

■ Operating Margin ■ Adj. Operating Margin³



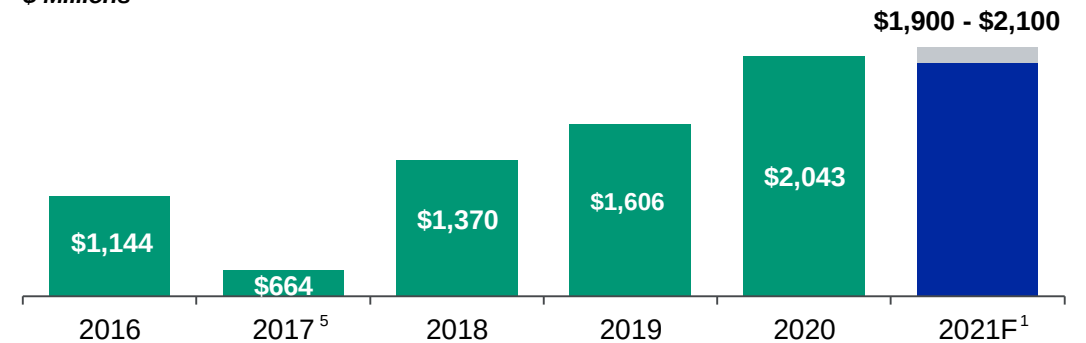
Adjusted Diluted EPS³

\$ Per Share



Free Cash Flow³

\$ Millions



1. Guidance as of February 12, 2021.

2. Totals may not sum due to rounding.

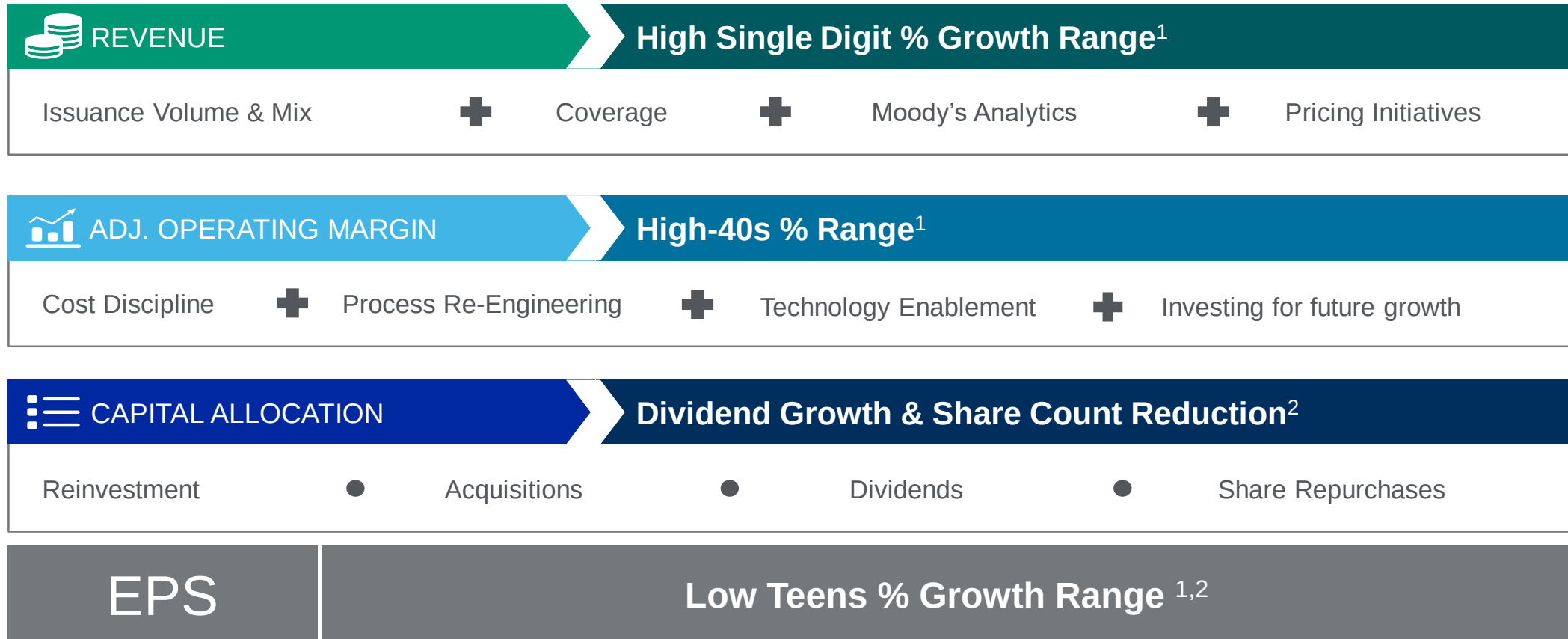
3. These figures are adjusted measures. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

4. 2015 – 2017 operating and adjusted operating margins have been restated to conform to the new presentation for pension expenses.

5. Includes approximately \$700 million in net payments pursuant to a settlement charge.

Long-Term Growth Opportunities

Three levers to achieve EPS growth



1. Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

2. Subject to market conditions and other ongoing capital allocation decisions.

Note: Long-term growth opportunities presented on this slide are on average over time.

Capital Allocation Strategy

Prudent approach in uncertain times

Capital allocation goals



Anchored around
a BBB+ rating



Ensure adequate
financial flexibility



Provide
necessary capital
to pursue growth
opportunities



Meet return
thresholds and
create long-term
value for
shareholders



Manage risk

Capital allocation levers

INVESTING IN GROWTH OPPORTUNITIES



Reinvestment



Acquisitions

RETURN OF CAPITAL



Dividends



Share repurchase

Investment Criteria and Post Acquisition Review



Clear Industrial Logic

Strategic fit is the most important factor and the first screen



- » Complementary ratings, content, data, analytics, risk management, etc., in existing and / or high growth markets
- » Financial services and adjacent client base that can leverage Moody's brand, distribution, core credit expertise and analytic capabilities
- » Preference for recurring or "repeat" revenue and low capital intensity



Disciplined Financial Targets

Long held, clear financial framework for external (and internal) investments



- » IRR at / above Moody's cost of capital
- » >10% annual cash return yield within 3-5 years
- » Cash payback within 7-9 years
- » GAAP EPS accretive by year 3 (where applicable)
- » Transactions evaluated on an unlevered basis



Post-Acquisition Review

Disciplined and rigorous monitoring post close



- » Clear accountability with regular reporting to senior management and board
- » Integrate within acquiring business unit while maintaining unique and / or entrepreneurial characteristics
- » Acquisition tracking for minimum of 3 years after close for transactions >\$10 million

Key Takeaways

Growth Company



- » Long-term financial expectations remain robust
- » Balanced revenue model maximizes growth potential while ensuring resilience
- » Strong free cash flow generation

Operational Excellence



- » Strategic initiatives generate cost efficiencies, enabling reinvestment and margin improvement
- » Continued MA margin expansion
- » Strategic investments create sustainable value

Disciplined Capital Allocation



- » Emphasis on returning excess capital to stockholders through dividends and share repurchases
- » Strong track record of investment success exemplified by Bureau van Dijk
- » Efficient balance sheet management

3

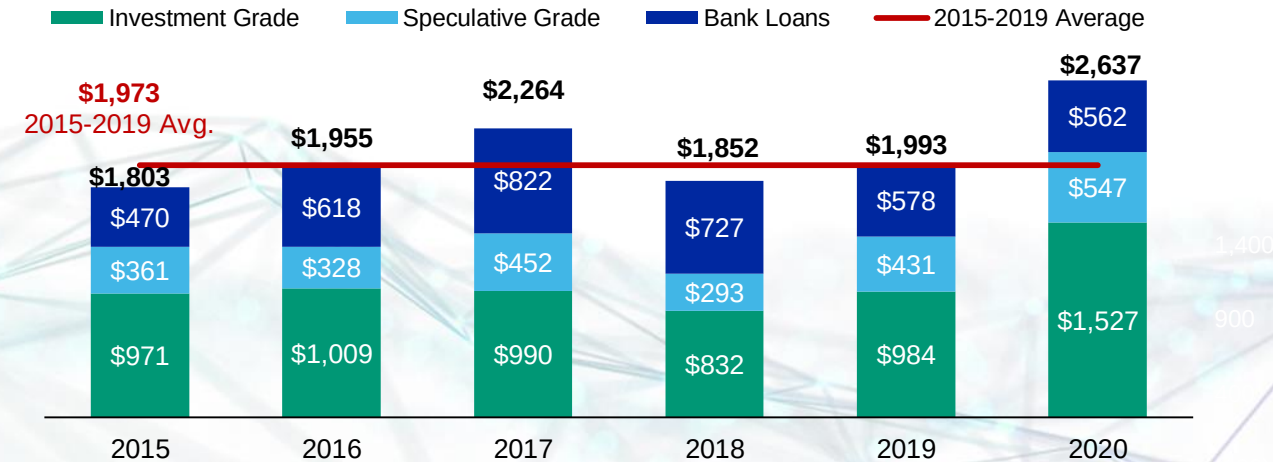
Capital Markets Overview

MIS Issuance Spotlight

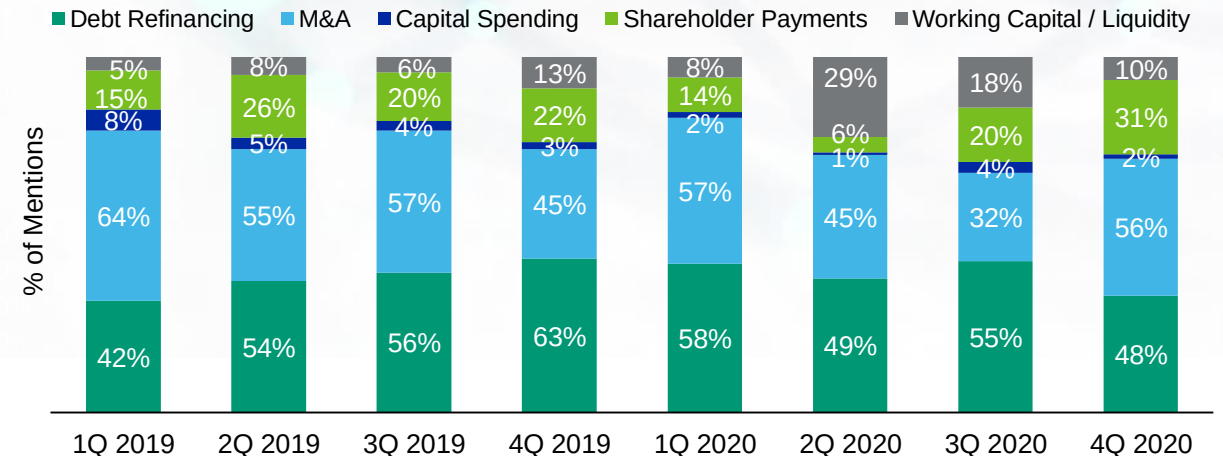
- » Balance sheet fortification and increasingly favorable conditions led many corporates to issue multiple times
- » As anticipated, issuance moderated in 4Q 2020, following heavy activity in the prior quarters
- » Leveraged loan volumes saw some improvement in 4Q 2020, with issuance increasingly motivated by M&A opportunities

1. MIS rated issuance.
 2. Percent of mentions for each respective period in bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.

2020 CFG Issuance 34% Above Prior 5 Year Average (\$ Billions)¹

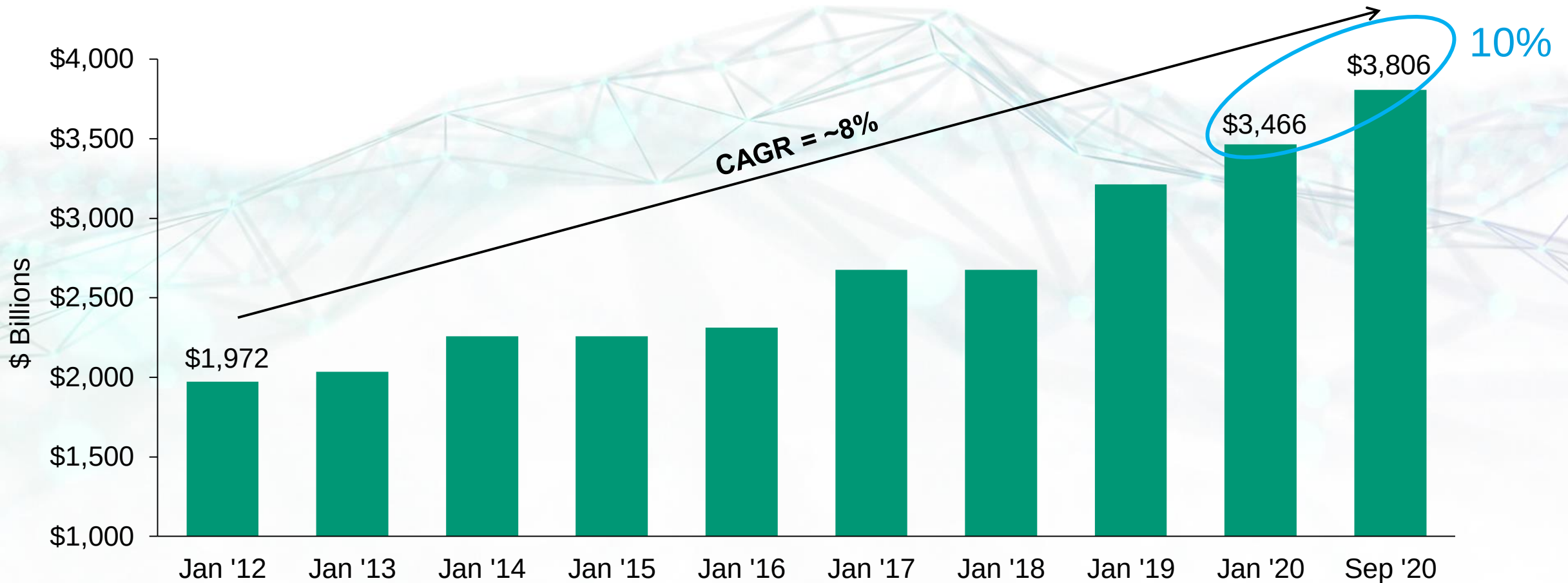


Uses of Funds from USD High Yield Bank Loans²



Refunding Needs Continue to Build

Next four years North America and EMEA total refunding needs¹ as of:

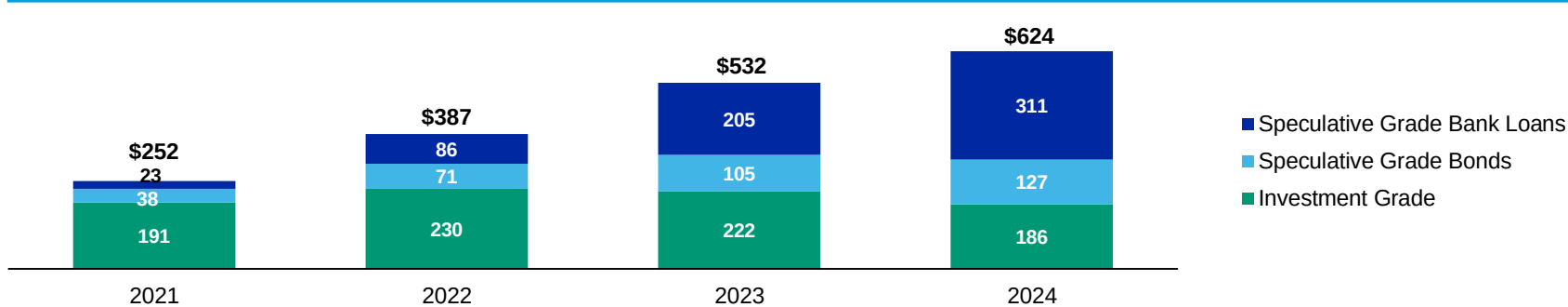


1. Amount reflects total maturities as defined in Moody's Investors Service's U.S., Canada and EMEA refunding needs reports January 2012 – October 2020.

Note: Data represents U.S., Canadian and European MIS rated non-financial corporate bonds & loans. Canadian data not available before 2015.

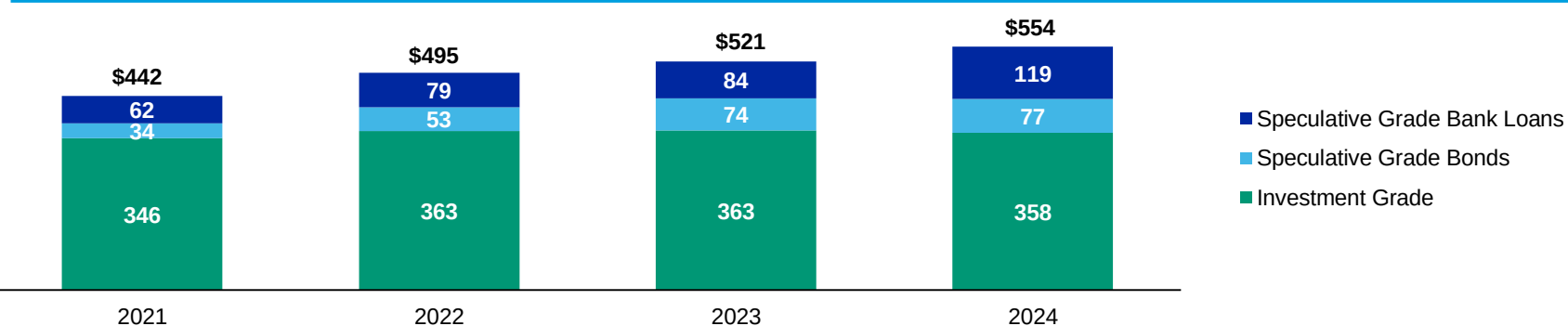
Refunding Needs¹ Support MIS Long-term Fundamentals

Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans²



- » Approximately \$1.8 trillion of non-financial corporate debt maturing in North America through 2024, up ~8%⁴
- » North America speculative grade bank loans refinancing needs up ~\$180 billion, or ~40%⁴

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans³

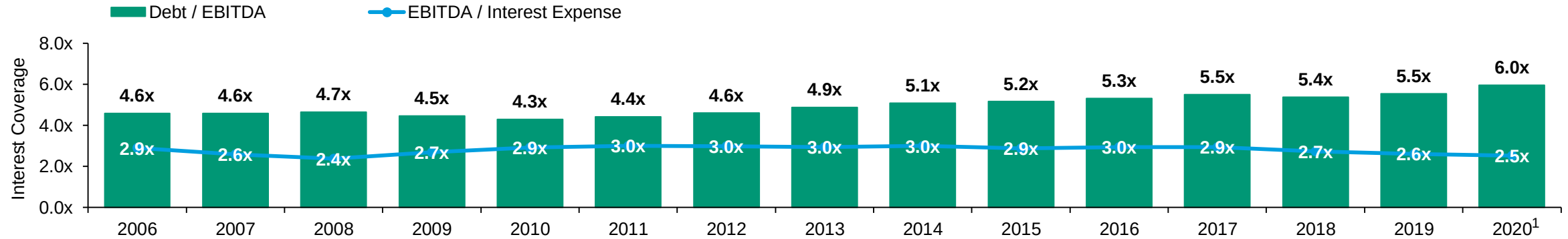


- » Four-year debt maturities for EMEA non-financial corporates exceed \$2 trillion, up ~\$200 billion, or 11%⁴

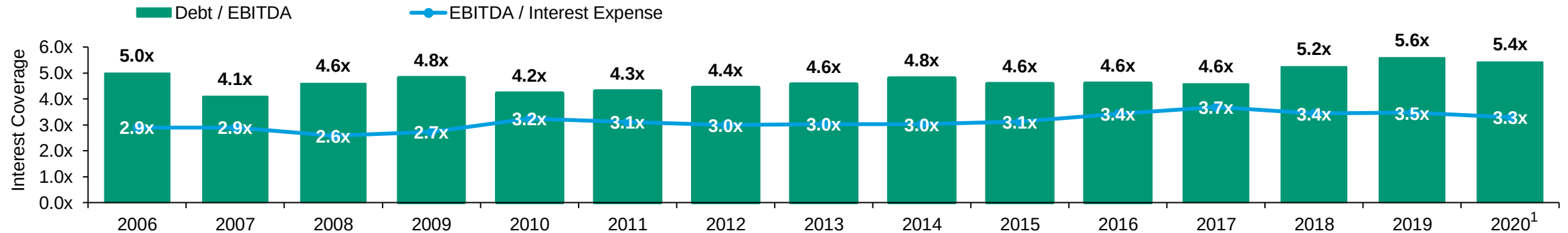
1. Non-financial corporates.
2. Source: Moody's Investors Service, October 2020. Data represents U.S. & Canadian MIS rated corporate bonds & loans.
3. Source: Moody's Investors Service, October 2020. Data represents EMEA Investment-Grade & EMEA Speculative-Grade.
4. Comparison to previously provided refinancing needs data for the upcoming four years from 1Q 2020 Investor Presentation.
Prior data: Moody's Investors Service. U.S. & Canadian MIS rated corporate bonds & loans for North America as of January 2020 & EMEA as of July 2019.

Debt Leverage and Interest Coverage in North America and Europe

Credit Metrics: North American Speculative Grade Companies



Credit Metrics: European Speculative Grade Companies



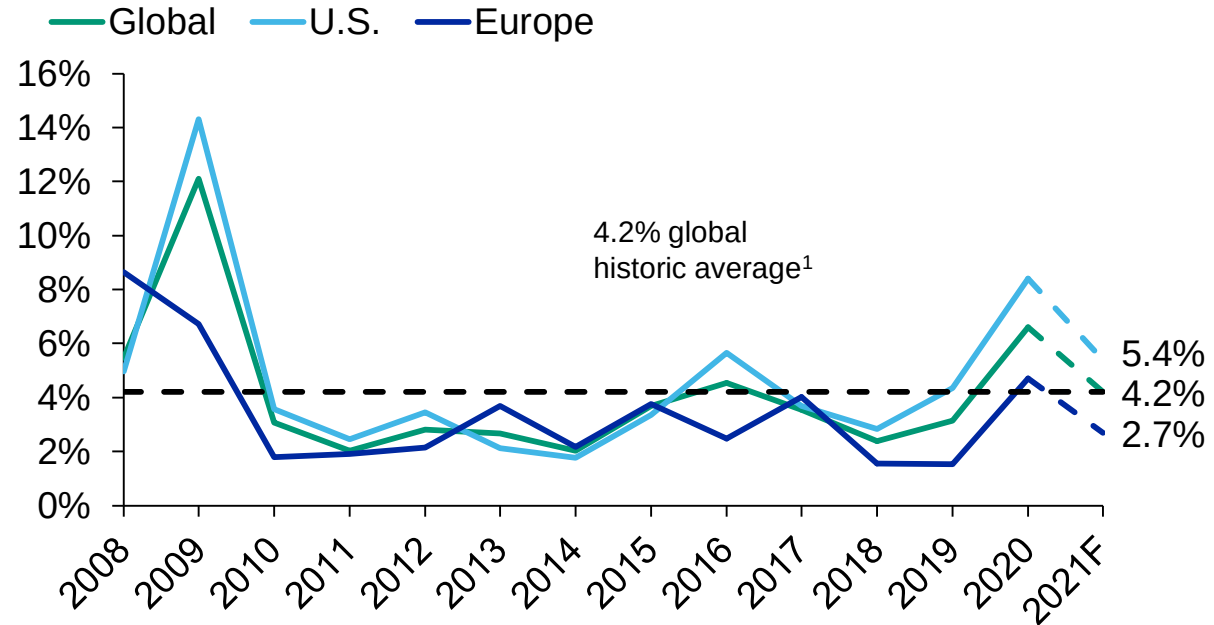
1. Trailing twelve months ended December 31, 2020.

Source: Moody's Investors Service.

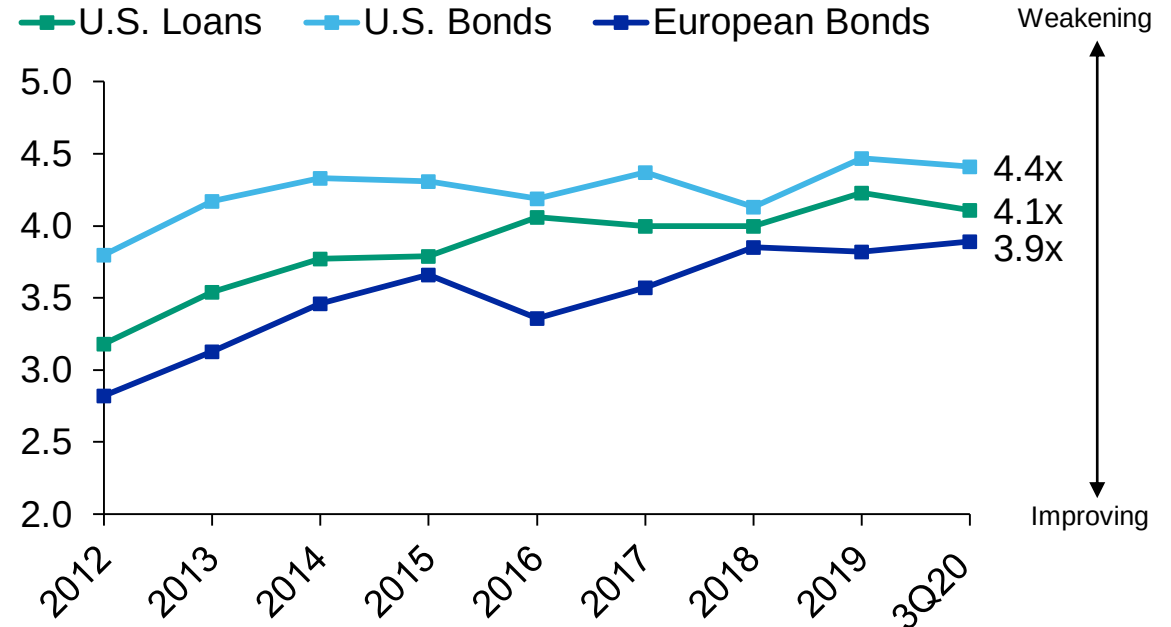
Note: Historical figures may change due to timing differences in issuer reporting deadlines.

Default Rate Expected to Improve

Default Rates for Speculative-Grade Corporate Rated Issuance¹



Speculative-Grade Covenant Quality Indicators²



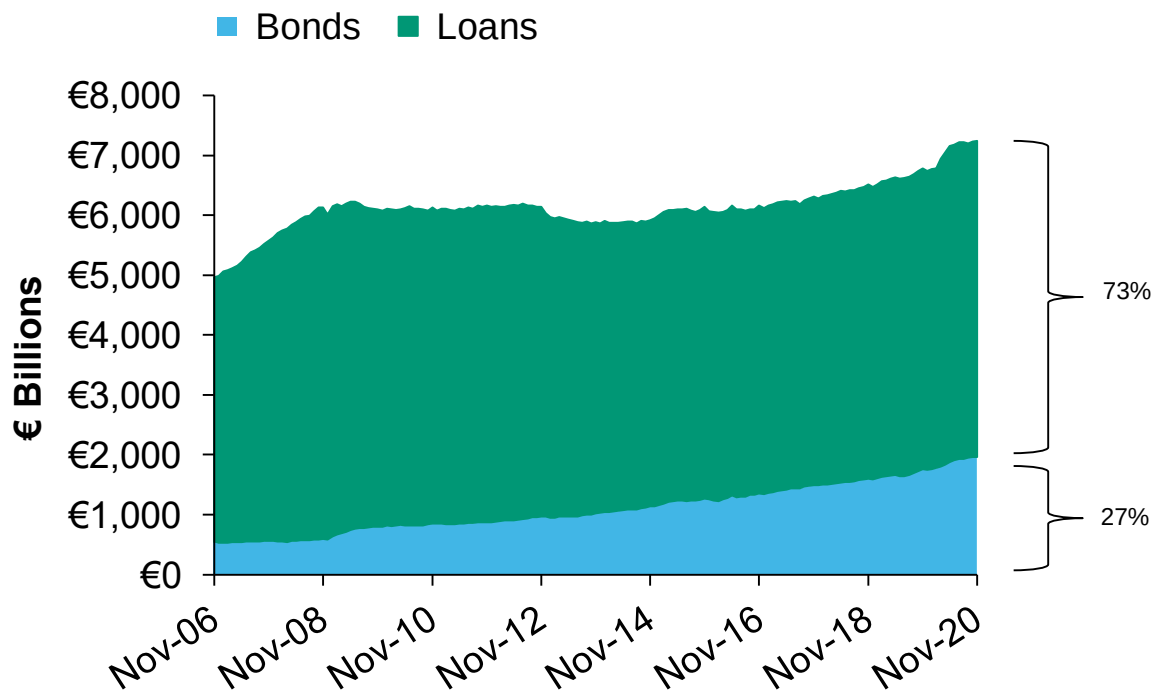
- » Global trailing twelve month speculative-grade default rate at 6.7% at the end of January 2021, down from 6.8% at the end of December 2020.
- » Trailing twelve month global speculative-grade default rate will fall to 4.2% by end of 2021, matching the long-term average since 1983.

1. Moody's rated corporate global speculative grade default historical average of 4.2% from 1983 through January 31, 2021. 2021 forecast for TTM ended December 31, 2021 from Moody's Investor Service "January 2021 Default Report", published February 8, 2021.

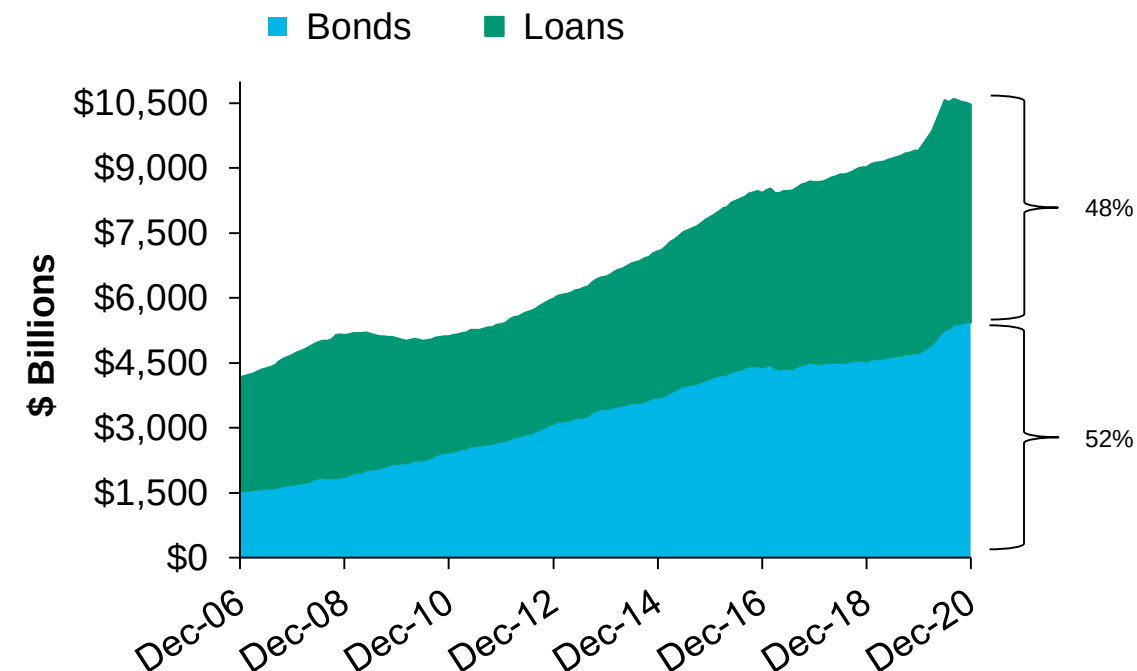
2. Covenant data for European bonds represent a three quarter rolling average, North American loans and bonds represent a two quarter rolling and a three month rolling average, respectively.
Source: Moody's Investors Service.

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding



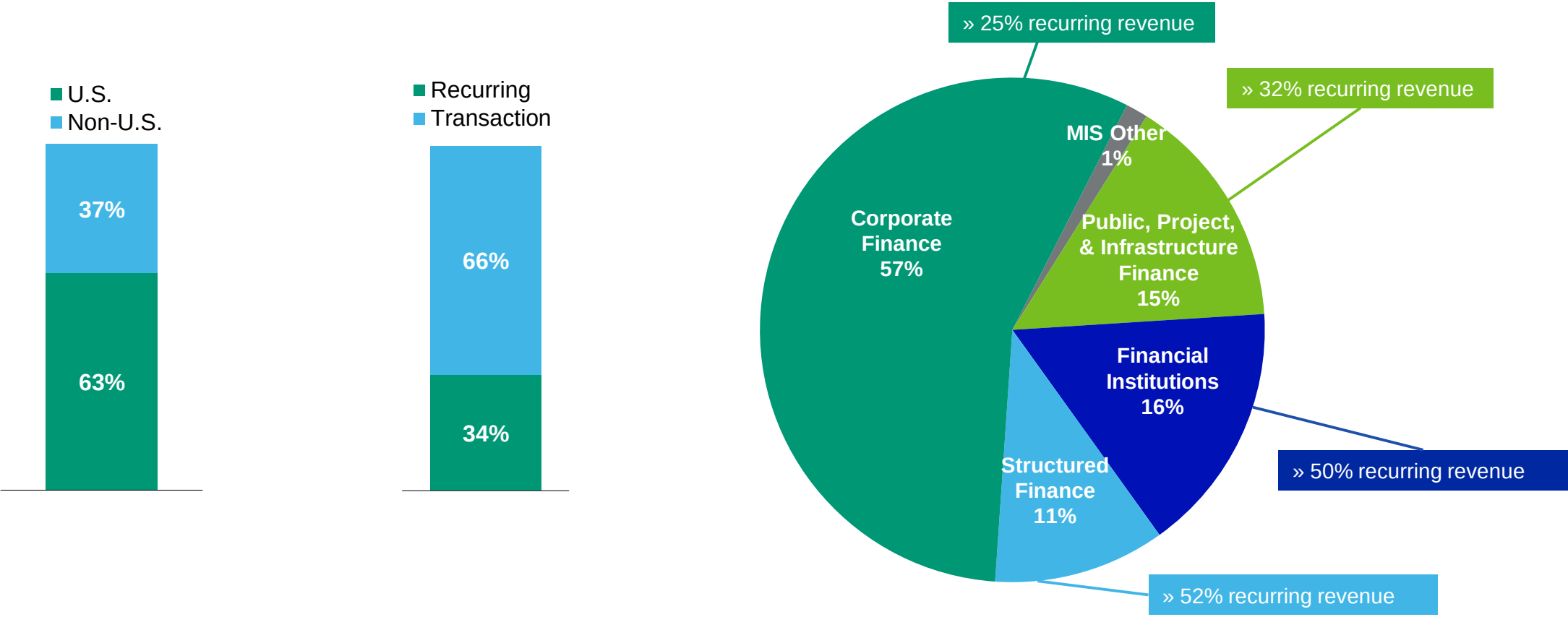
Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European data is through November 2020 and U.S. data is through December 2020.

4

Moody's Investors Service

Moody's Investors Service Financial Profile

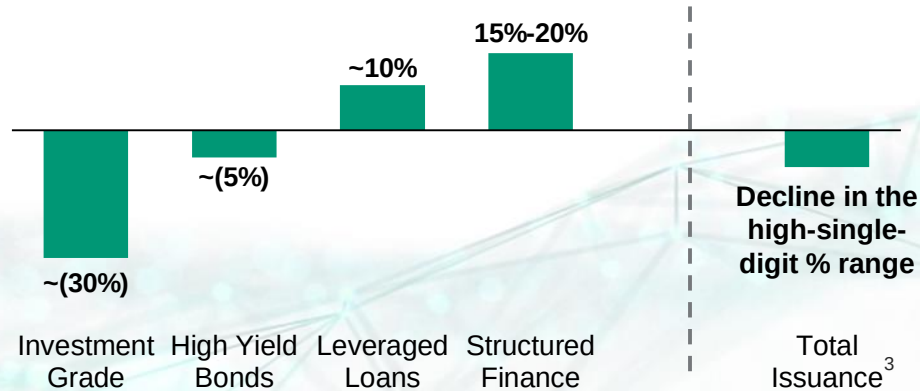
Full Year 2020 Revenue: \$3.3 billion



MIS 2021 Guidance: Transactional Orientation

Benefits Revenue

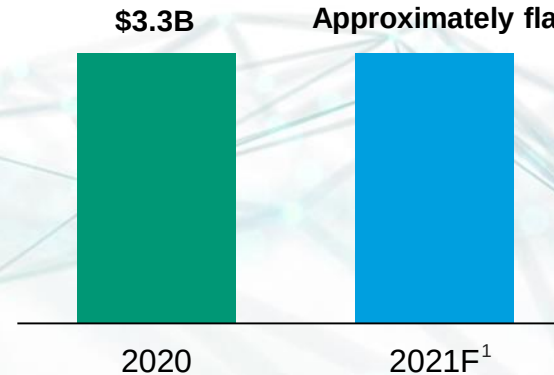
FY 2021 Issuance Guidance^{1,2}



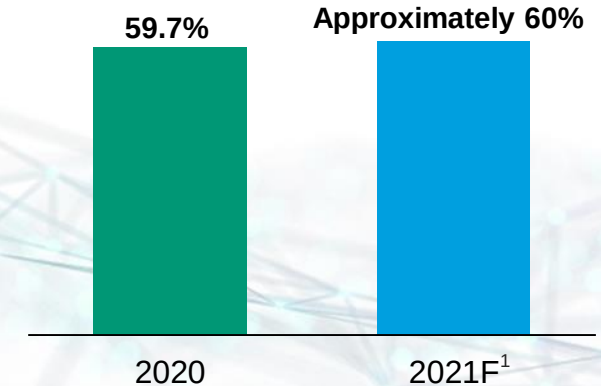
Key drivers of MIS FY 2021 outlook¹

- » Issuance² expected to decline in the high-single-digit percent range from \$5.5T in 2020
- » Revenue growth expected to hold approximately flat compared to 2020's record level, supported by favorable issuance mix
- » Refinancing to remain a driver of issuance given favorable rate environment, though moderating from 2020 volumes
- » Structured finance issuance to improve from 2020, partially due to increased loan supply
- » Improving M&A activity
- » 700-750 first time mandates
- » Margin stability, as lower incentive compensation and increased cost efficiencies offset organic investments

Revenue



Adjusted Operating Margin¹



1. Guidance as of February 12, 2021. Refer to Table 12 – "2021 Outlook" in the press release for a complete list of guidance and a reconciliation between adjusted measures to GAAP, as well as assumptions used by the Company with respect to its guidance.
 2. MIS rated issuance.
 3. Total issuance includes CFG, SFG, FIG and PPIF. Excludes sovereign debt.

The Benefits of a Moody's Rating

Investors seek Moody's opinions and particularly value the knowledge of its analysts and the depth of Moody's research

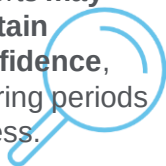
Access to capital

- » Moody's opinions on credit are used by institutional investors throughout the world, **making an issuer's debt potentially more attractive to a wide range of buyers.**
- » A Moody's rating may **facilitate access to both domestic and international debt capital.**



Transparency, credit comparison and market stability

- » Signals a **willingness by issuers to be transparent** and **provides market participants with an independent assessment** against which to compare creditworthiness.
- » Moody's ratings and research reports **may help to maintain investor confidence**, especially during periods of market stress.



Responsive to investor demand

- » Moody's extensive investor outreach is one reason why **Moody's is most frequently identified as the agency used most¹**, (when multiple agencies are used), who have acknowledged our track record of accuracy.



Planning and budgeting

- » May help issuers when **formulating internal capital plans and funding strategies.**



Analytical capabilities

- » Among ratings advisors, Moody's enjoys a **strong position** and is **well-recognized for the depth and breadth of its excellence.²**



1. 2019 Moody's Perception Study (Investors) conducted anonymously by Morpace/Stakeholder Advisory Services.
2. 2019 Moody's Global Intermediaries Perception Study conducted by Morpace/Stakeholder Advisory Services.

Illustrative Value of a Moody's Rating

Example: 10 year \$500 million corporate bond

Not Rated by Moody's

$$\begin{aligned} & \$500,000,000 \\ & \quad \times 2.5\% \\ \hline & = \$12,500,000 \\ & \quad \times 10 \text{ years} \\ \hline & = \$125,000,000 \end{aligned}$$

Bond

Interest rate

Annual interest payments

Tenor

Lifetime interest expense

Rated by Moody's

$$\begin{aligned} & \$500,000,000 \\ & \quad \times 2.1\% \\ \hline & = \$10,500,000 \\ & \quad \times 10 \text{ years} \\ \hline & = \$105,000,000 \end{aligned}$$

~\$20 million in total interest expense

vs.

lifetime cost of a rating

Note: Illustrative spread differential based on our empirical study, on a snapshot of data from July 2020, which shows that having a Moody's rating (when rated at the same level as other agencies) typically saves approximately 40 basis points per year for issuers. Many factors go into the pricing of a bond.

Managing Ratings in Turbulent Times

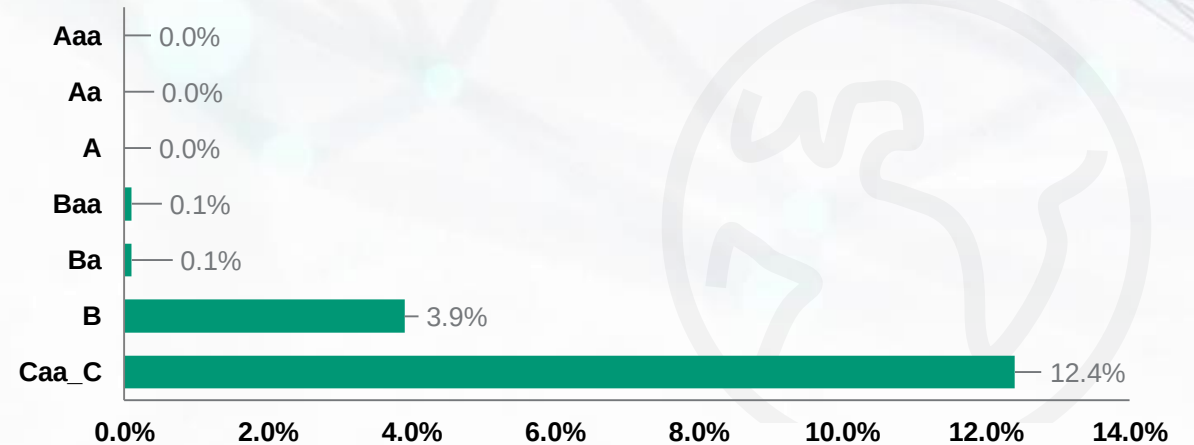
Transparency and relevance of credit ratings through the cycle



Top 10 sectors most affected by COVID-19¹



Global corporate default rates ended December 2020²



1. Includes all publicly-rated nonfinancial corporate entities; excludes subsidiaries and project finance-related corporations.

2. Trailing twelve months.

Source: Moody's Investors Service.

MIS Facts and Figures: Full Year 2020

35,000+

Rated Organizations and Structured Deals

5,000+

Non-Financial
Corporates



3,600+

Financial
Institutions



16,000+

Public
Finance Issuers



9,100+

Structured
Finance Deals



1,000+

Infrastructure &
Project Finance Issuers



459

Sub-Sovereigns*



145

Sovereigns*



47

Supranational
Institutions*



**\$70+
trillion**

Total rated
debt

AMERICAS

EMEA

ASIA PACIFIC

TOTAL RATED DEBT

\$37.8+ trillion

\$19.8+ trillion

\$11.7+ trillion

RATED ORGANIZATIONS AND STRUCTURED DEALS

28,500+

4,700+

2,200+

PUBLICATIONS

22,900+

15,200+

5,200+

47,000+ Publications

23,000+
Issuer
Research

3,600+
Sector
Research

21,000+
Other
Reports

202
Rating
Methodologies

Source: Moody's Investors Service.
Total rated outstanding debt as at January 10, 2021 and includes supranational rated debt (\$1.8tn+).
Publications breakdown includes "Global" which accounts for an additional 4,000+ publications.
All numbers are rounded other than those marked *.



PEOPLE

11,400+

MCO employees

1,000+

Analysts

40+

Countries/Regions



EVENTS

750+

Global events

152,000+

Global participants

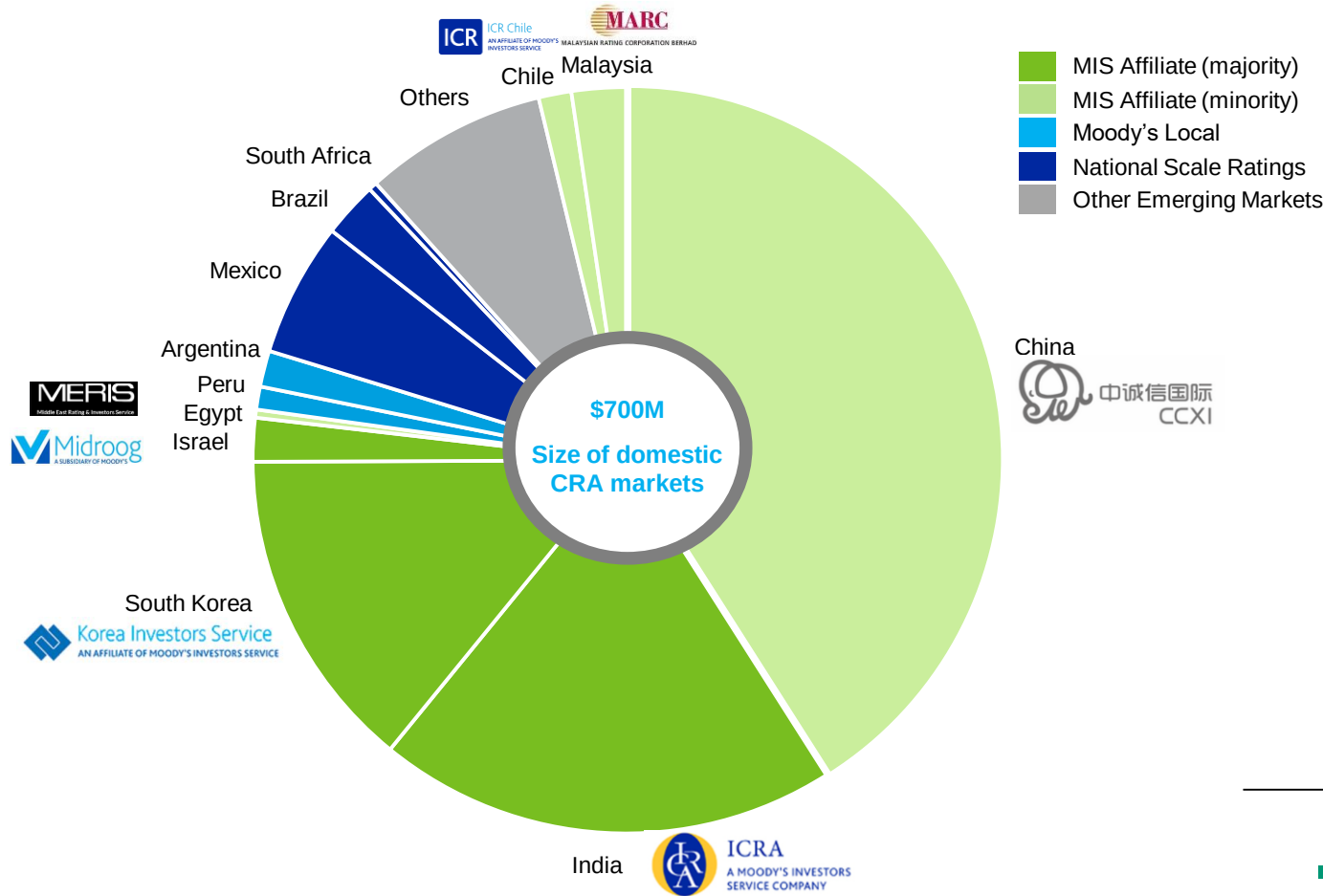


**AWARDS &
RECOGNITION**

Award-winning expertise in credit ratings,
research and risk analysis. For more
information, visit awards.moody's.io

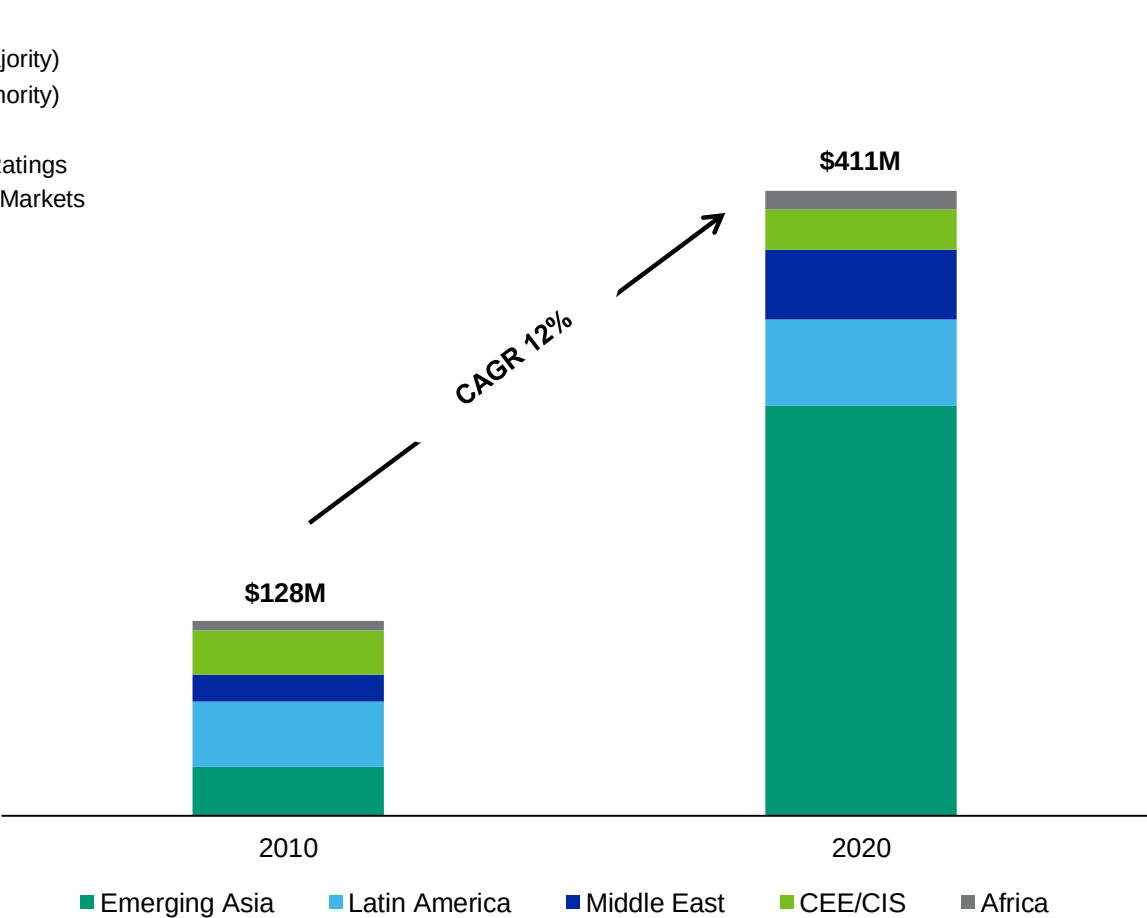
Strongly Positioned in Emerging Markets

Emerging Markets - Domestic TAM



Note: Size of pie represents the estimated total CRA revenue from domestic markets (\$700 million) as of June 30, 2020.

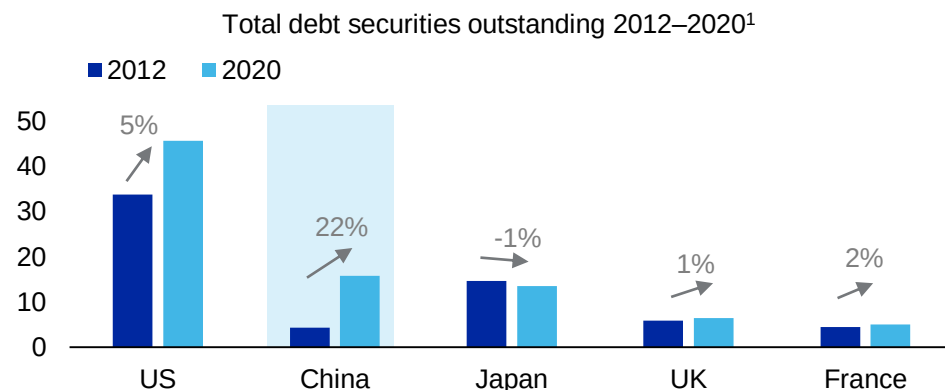
MIS Emerging Markets Revenue¹



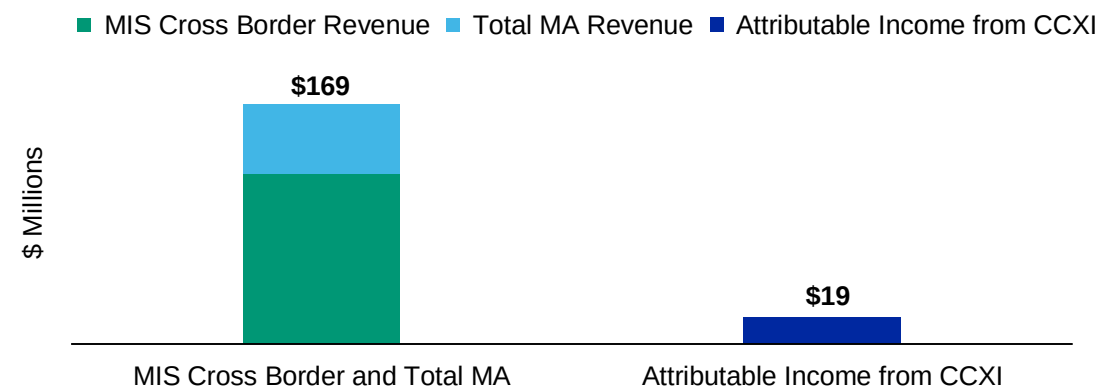
1. Includes revenue from cross border issuance.

Moody's in Greater China

2nd Largest Onshore Bond Market at \$15 Trillion



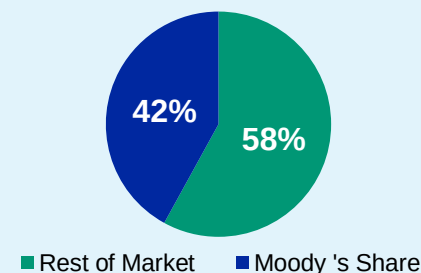
Revenue and Attributable Income from China²



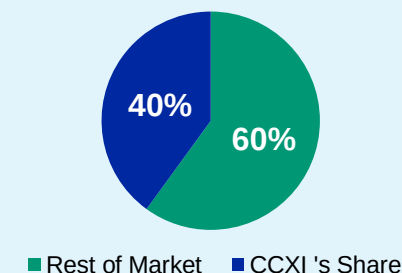
Estimated China Ratings Market Size: Domestic and Cross Border³

- » **Moody's participates directly** in the cross-border China issuance market through MIS **and in the domestic market** through a 30% interest in CCXI
- » **Long-term growth prospects** enabled by **participation** in the ongoing **development of China's domestic credit markets**
- » **Continuing to foster constructive relationships** and partnerships with issuers, regulators and other market participants

Cross Border Market ~\$280M³



Domestic Market ~\$310M



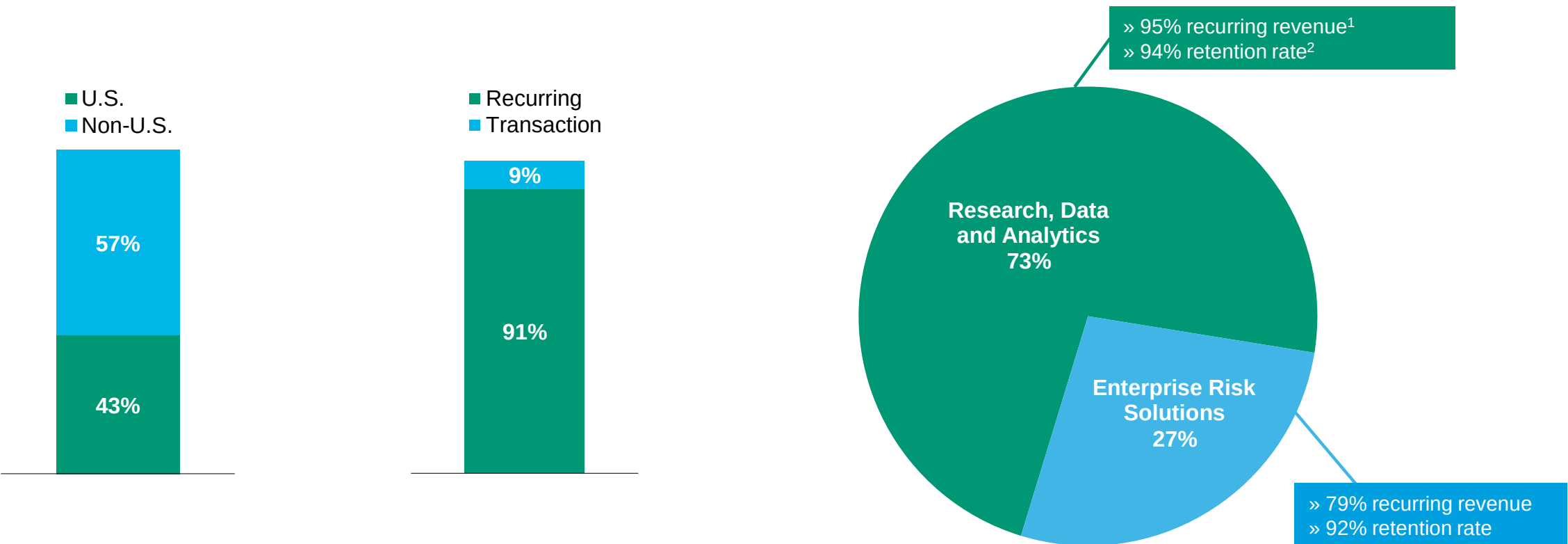
1. Percentage growth numbers are rounded compound annual growth calculations. Source: Bank for International Settlements' latest data available as of 2Q 2020.
 2. Greater China: Mainland, Hong Kong and Macau. Revenue and attributable income data for full year 2020.
 3. Revenue as of 4Q 2020; USD 1 = RMB 6.53 RMB exchange rate as of December 31, 2020 is used for conversion for domestic CRAs' estimated revenue. Note: These are high level estimates based on MIS & CCXI 4Q 2020 revenue/market coverage in domestic market; in cross border, market share is coverage/sum of coverage for three major CRAs.

5

Moody's Analytics

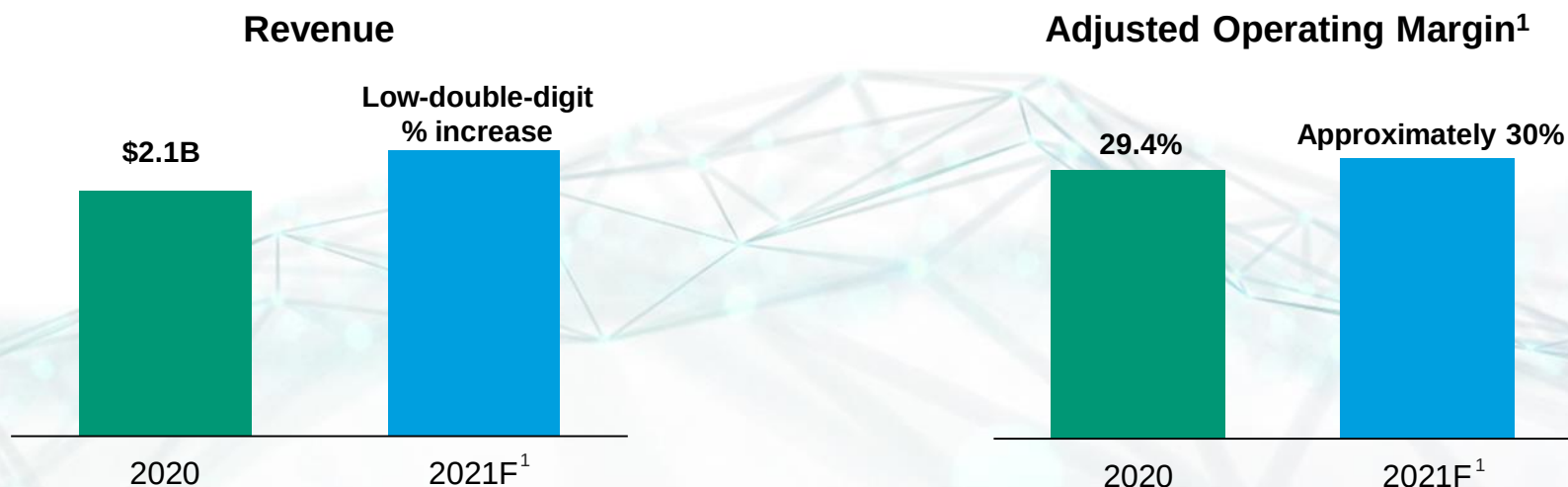
Moody's Analytics Financial Profile

Full Year 2020 Revenue: \$2.1 billion



1. Recurring revenue for RD&A as reported, including MALS for 2020.
2. TTM as of December 31, 2020. Includes Bureau van Dijk.

MA 2021 Guidance: Revenue Growth and Reinvestment to Drive Future Expansion



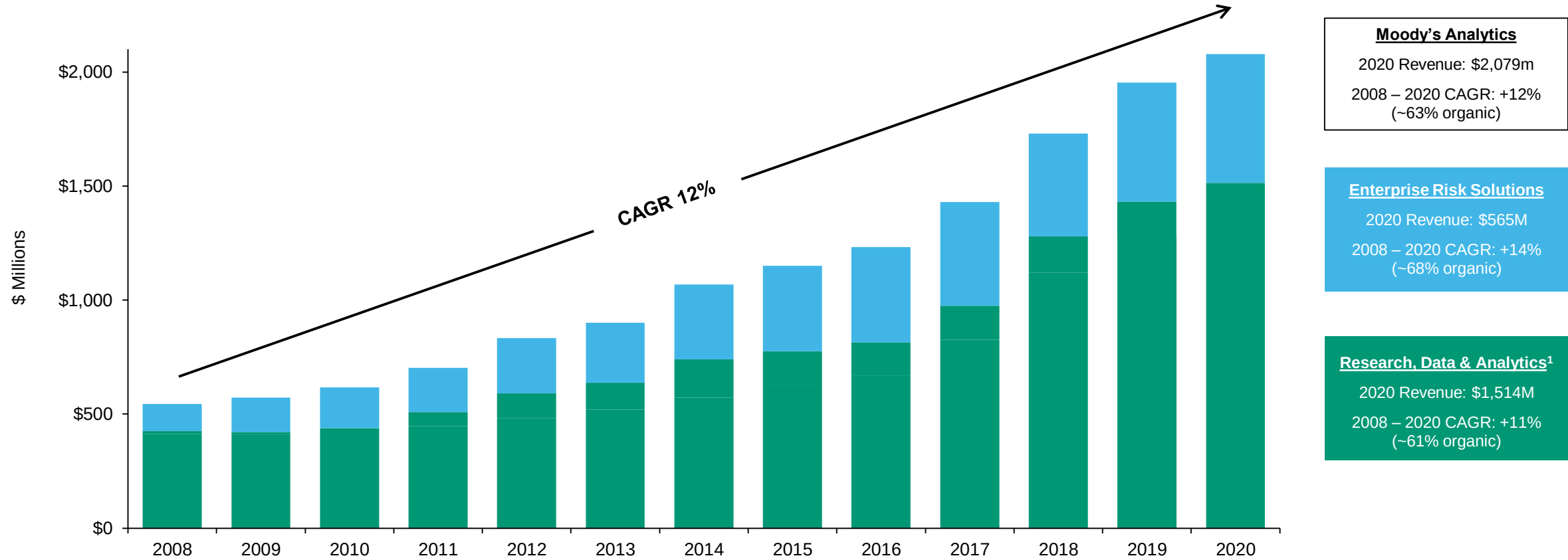
Key drivers of MA FY 2021 outlook¹

- » ~93% recurring revenue
- » Revenue growth includes a 2% - 3% benefit from M&A
- » Expecting retention in the mid-90's percentage, in-line with 2020 performance
- » RD&A: Continued strength in KYC and compliance solutions, research and data feeds
- » ERS: Strong growth in recurring revenue, partially offset by lower one-time fees due to ongoing emphasis on subscription-based products and services
- » Retaining margin improvement (~500 bps over last 3 years), while reinvesting into the business to drive future growth

1. Guidance as of February 12, 2021. Refer to Table 12 – “2021 Outlook” in the press release for a complete list of guidance and a reconciliation between adjusted measures to GAAP, as well as assumptions used by the Company with respect to its guidance.

Moody's Analytics Has Several Platforms for Growth

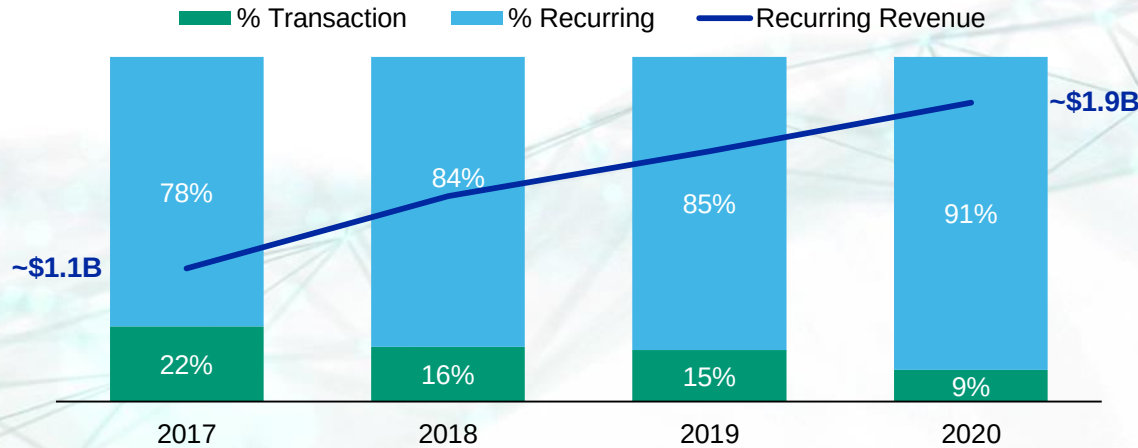
Revenue Has More Than Tripled Since Inception



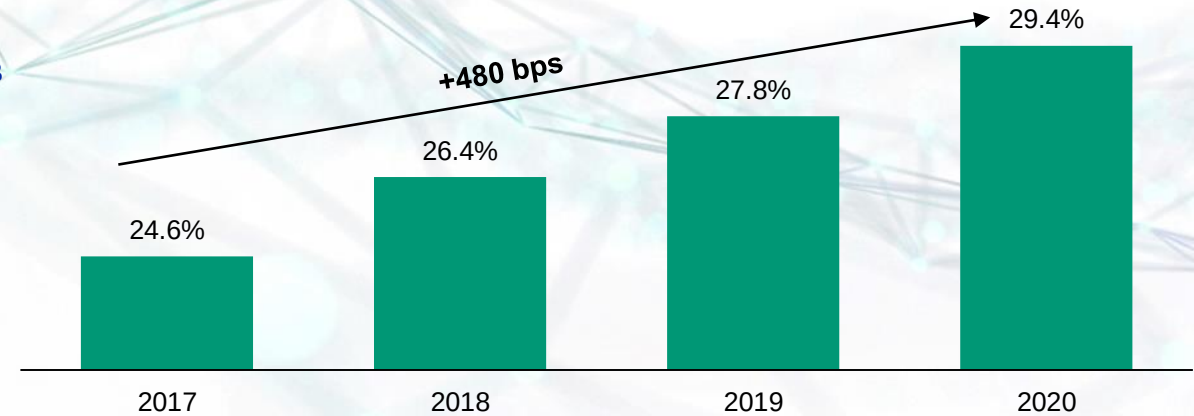
1. Includes Professional Services line of business ("LOB"). Subsequent to the divestiture of MAKs in 2019, revenue from the Moody's Analytics Learning Solutions ("MALS") unit, which previous to 2020 was reported in the Professional Services LOB, is now reported as part of the RD&A LOB.
Note: Individual line of business revenues may not add up to total Moody's Analytics revenue due to rounding.

Healthy Growth in MA's Recurring Revenue Supports Long-term Margin Expansion Amidst Investment

MA RECURRING AND TRANSACTION REVENUE



MA ADJUSTED OPERATING MARGIN² EXPANSION



Robust 2020 recurring revenue growth of 14%

- » Stable retention in mid-90's percentage¹
- » Strength in KYC and compliance solutions
- » M&A strategy accelerates shift to recurring revenue



High growth in recurring products drives margin expansion

- » ~160 bps of margin expansion in 2020



1. Full year 2020.
2. Includes intercompany revenue and expenses. Changes in expenses include the impact of adjusting items.

Diverse Product Solutions

Continuous expansion and refinement of content, tools and user experience to help customers make better and faster decisions

Integrated Experience: *Ease of Use*

 **Onboard customers**
Confirm KYC, AML

 **Gather financials**
Create credit statistics

 **Analyze credit and transaction**
Assess creditworthiness of portfolio

 **Consider risks holistically**
Climate change, cyber,
macro-economic

Enhanced Content & Coverage: *More Value*

 **Compliance modules**
Leverage BvD, RDC and Acquire
Media data

 **Spreading tools**
Prepopulate and digitize financials

 **World class credit research and analytics**
Early warning signals and credit scoring

 **ESG impact**
of customer's business

Multichannel Delivery:

- ✓ Web
- ✓ Excel add-in
- ✓ API
- ✓ Third party platforms
- ✓ Mobile

Note: Data as of December 31, 2020.

1,500+
Asset Managers

2,900+
Commercial Banks

3,100+
Corporations

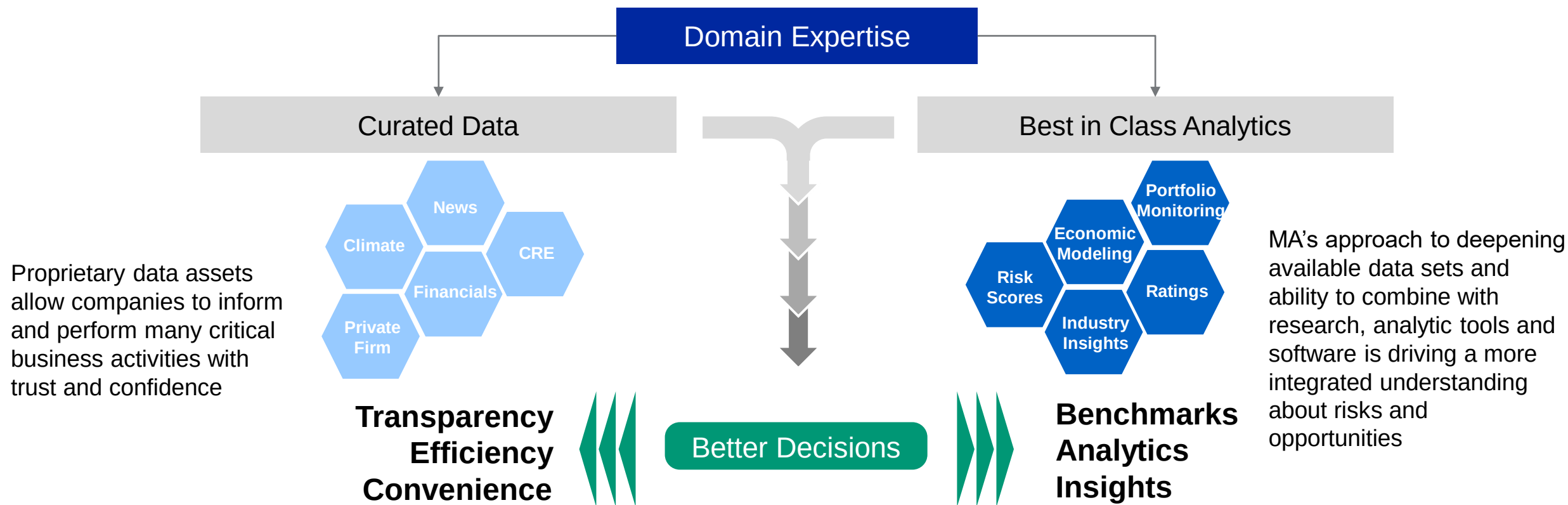
225+
Securities Dealers
and Investment Banks

675+
Insurance Companies

4,000+
Governments &
Other Entities

300+
Real Estate Entities

Curated Data Combined with Analytics are the Foundation of our Integrated Risk Assessment Strategy



RD&A Enables Better Decisions through Data and Insights

Our business solutions

Research

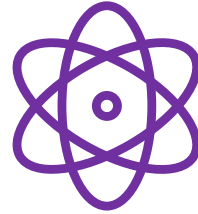
Opinions and insights that explain ratings, methodologies and markets



Data

Public and private company information¹

MIS Ratings



Economics

Scenarios, forecasts and indicators to support analytics



Commercial Real Estate

Workflow solutions, portfolio performance and climate impact



Our customers



1. Public and private company information relates to KYC and compliance solutions.

Curated Company Data Is the Foundation for Multiple High Value Solutions

← High Value Customer Solutions →



KYC, compliance and financial crime

Conduct on-boarding and anti-money laundering research with extensive corporate structure and beneficial ownership data combined with information on politically exposed persons (PEPs), sanctions and adverse news.



Supplier risk and procurement

Increased demand to lower risk within the supply chain and for companies to have a better understanding of who they are doing business with. Moody's recently launched a Beta of the Know Your Supplier tool helping healthcare providers research PPE suppliers for criminal histories and negative media mentions.



Credit and financial risk

Assess customers, partners or suppliers using globally comparable financial strength metrics and standardized financial statements.



Corporate finance and M&A

Find targets/sellers, perform M&A/deal analysis and conduct due diligence using detailed deal and company data in a standardized format.



Transfer pricing

Find comparable companies and conduct peer analysis for tax compliance.



Business development

Improve efficiency of sales and marketing efforts by using Orbis data to enrich and refresh CRM systems, research new markets and improve customer targeting.



Data management

Combine multiple data sources into single entity views using unique identifiers and matching, de-duplication and data enhancement services.

Note: Primary use cases from Orbis/BvD products and solutions.

Bringing it All Together

Comprehensive suite of data assets to serve a range of KYC, compliance and financial crime use cases

~\$525M

ANNUAL SALES¹

High-teens growth %

ANNUAL GROWTH RATE²

KYC AND COMPLIANCE USE CASE

>\$200M

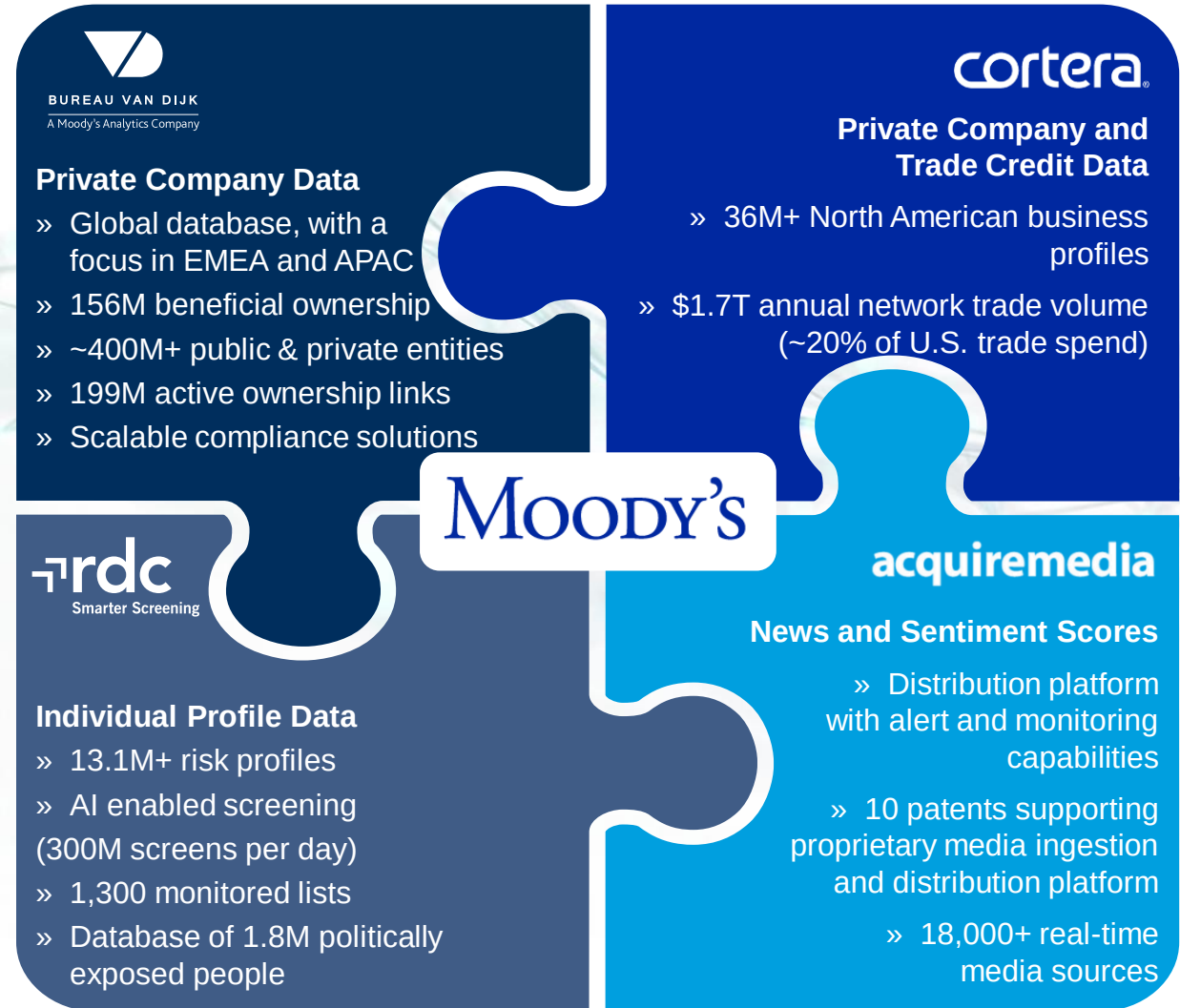
ANNUAL SALES¹

25%+

ANNUAL GROWTH RATE²

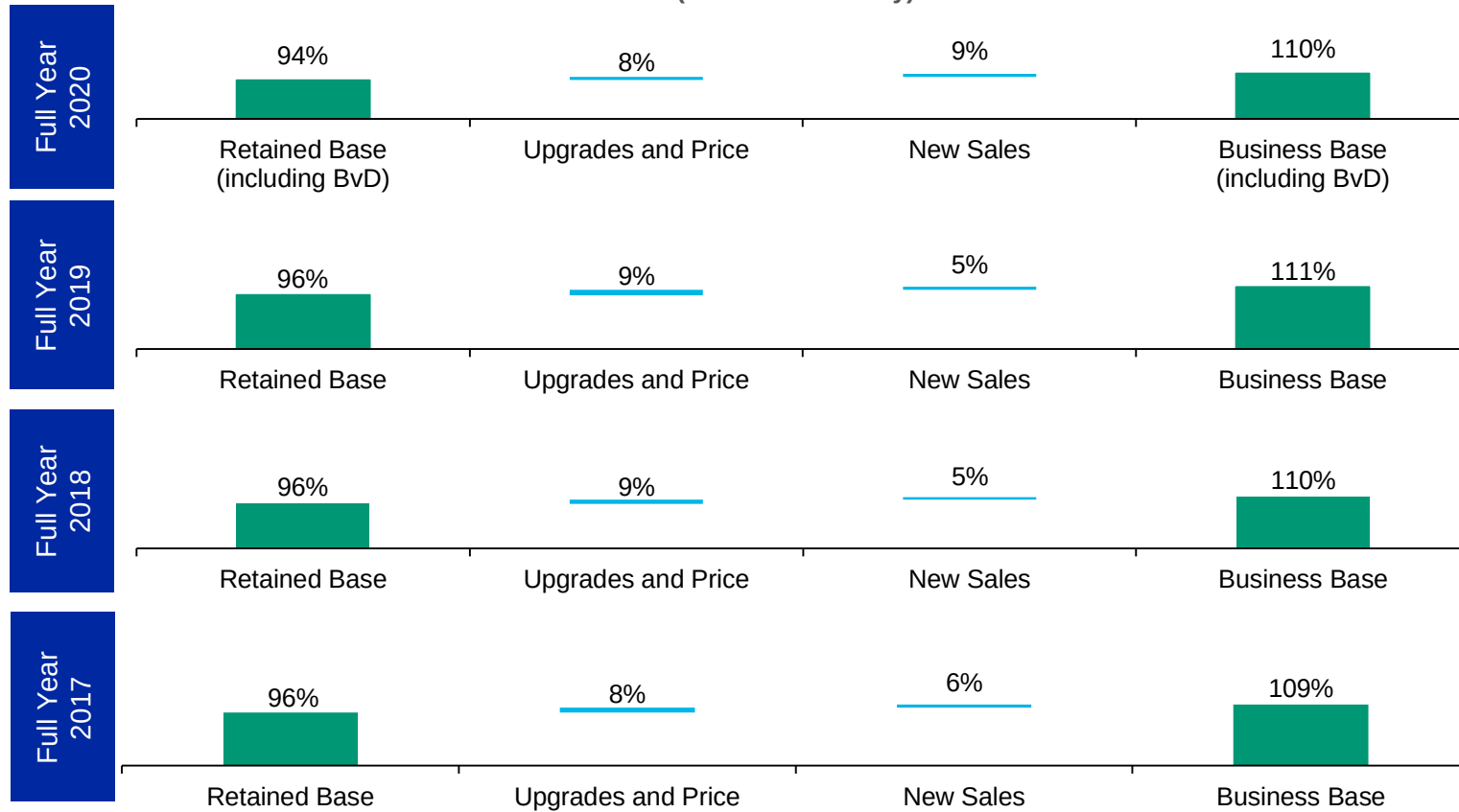
1. Pro forma full year 2020 sales including RDC and Acquire Media.

2. Estimated 2021 growth rate.



2020 RD&A Growth Driven by KYC and Compliance, Research and Data Feeds

Subscription Sales Growth (constant currency)



Expansion of ratings coverage



Production of insightful credit analysis



New customers in geographies with developing debt capital markets



Expansion of data sets and delivery options



Strong customer retention

Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis. 2020 data includes BvD and 2020 acquisitions, pre 2020 data excludes BvD. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers. Numbers may not foot due to rounding.

ERS Empowers Customers' Success With Analytics

Technology with a purpose – enabling better, faster decisions

Our business solutions

Accounting

Impairments,
IFRS-17



Balance sheet management

Portfolio, valuation
and ALM¹



Credit decisioning & lending

Credit modeling,
scoring
and spreading



RegTech²

Regulatory
reporting



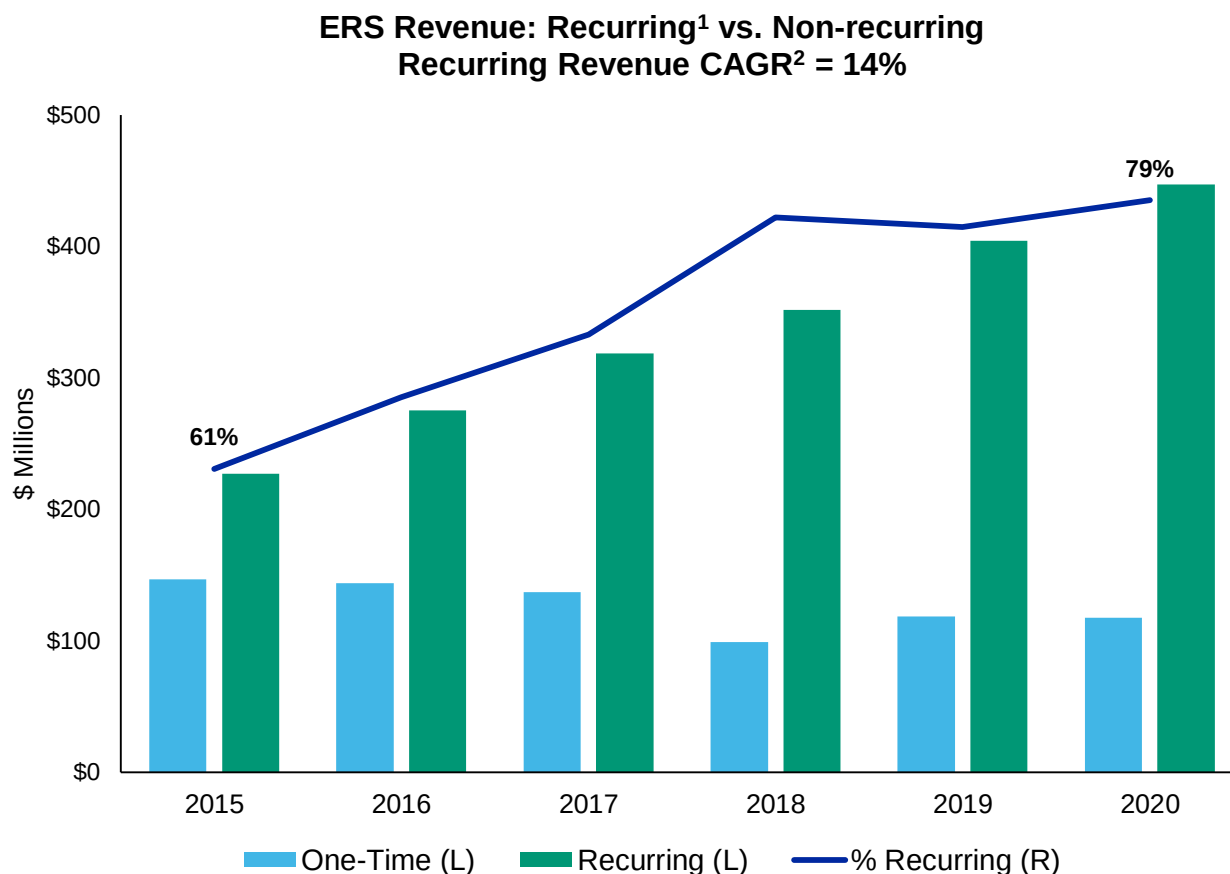
1. Asset and liability management.

2. Regulation technology.

Our customers



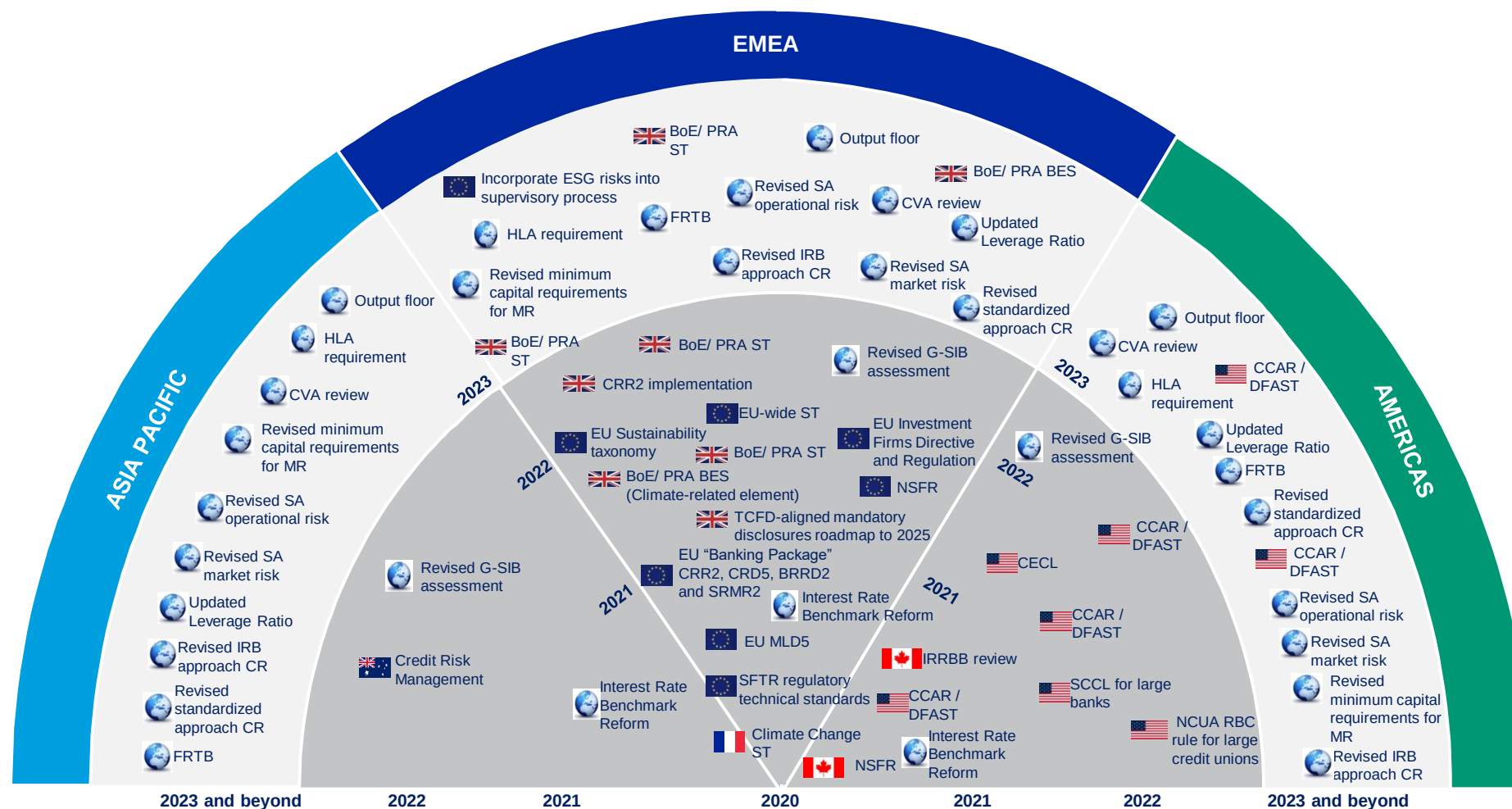
ERS: ~80% Recurring Revenue; Mid-teens Subscription CAGR



- » ERS recurring revenue has grown by approximately \$200 million since 2015
- » Emphasis on subscription products supports scalability, drives operating leverage and margin
- » Ease of use and lower cost of ownership shifting customer demand to SaaS
- » Next gen products enhance customer experience, improve adoption rates and shorten sales cycles
- » TTM³ revenue as of 4Q 2020:
 - Subscriptions (recurring)⁴ +11%
 - One-time (non-recurring) -1%

1. Recurring revenue includes maintenance and subscription.
 2. Compound Annual Growth Rate, 2015-2020.
 3. Trailing twelve months ended December 31, 2020.
 4. Subscriptions / recurring revenue include maintenance. Excluding maintenance, TTM subscription / recurring revenue would be +13%.

Global Regulatory and Accounting Drivers for the ERS Business



Pandemic related delays noted in 2020; OSFI NSFR; FED SCCL; EBA CRD 5, CRR 2 and BRRD 2; CECL.
Source: Moody's Analytics Strategy & Analytics; January 2021.

6

ESG Solutions

ESG Market Overview

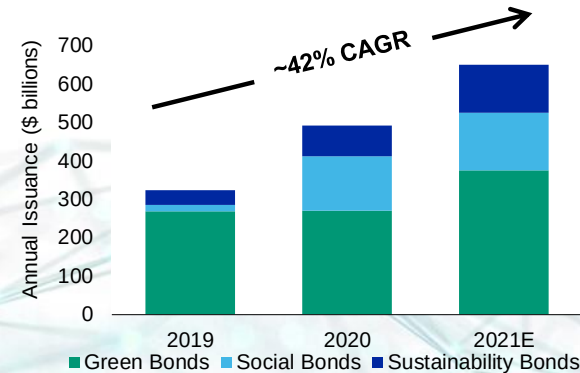


Market Trends

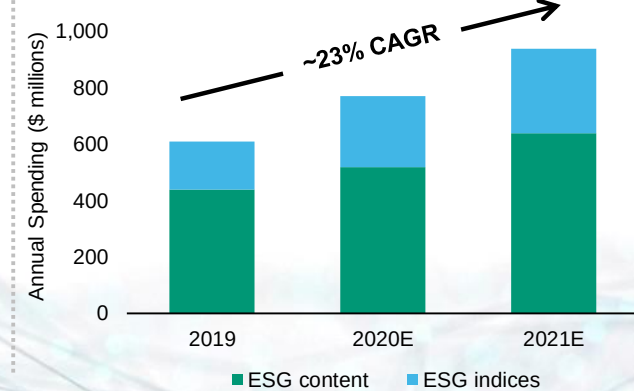
- » Multiple drivers and stakeholders supporting the growth of ESG, with increasing relevance to corporates, banks, insurers, investors, governments and consumers
- » Moody's forecasts global issuance of green, social and sustainability bonds – collectively referred to as sustainable bonds – will hit a record \$650 billion in 2021
- » Sustainability linked financing emerging as a key alternative to “use of proceeds” green issuance, expanding the potential issuer base
- » Increasing governmental focus on climate and sustainable debt market growth and development
 - Central banks focused on managing climate change related systemic risks
 - EMEA – EU driving towards standardization of ESG taxonomy, disclosures and reporting standards
 - U.S. – The new administration signalling ESG is a high priority; increased focus on company disclosures

1. Source: Moody's Investors Service "Sector in-depth: Sustainable Finance – Global – Sustainable bond volumes to top \$650 billion in 2021", February 4, 2021.
2. Sources: McKinsey and Opimas.

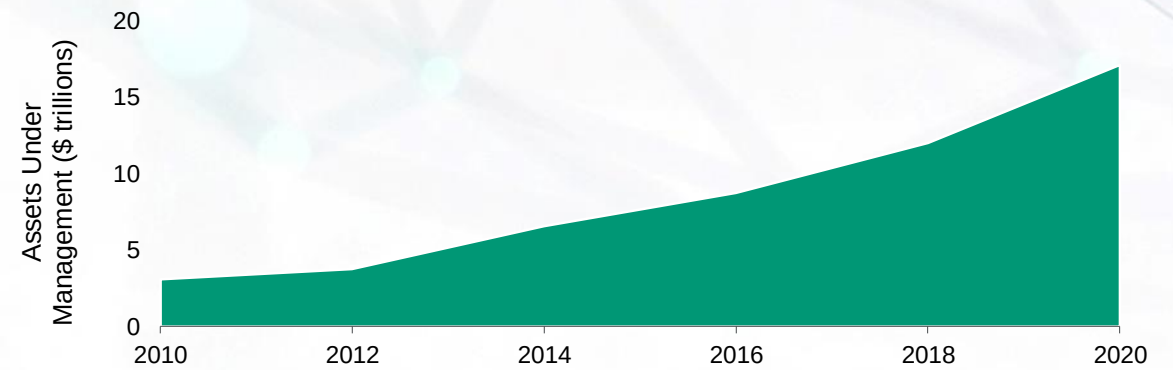
Sustainable bonds set for record volumes¹



Spend on ESG data & metrics growing rapidly²



US assets managed with sustainability strategies expanding¹



Priorities for Strategic Growth: ESG Integrated Across All Platforms, Driving Growth and Enhanced Relevance



MIS Integration



Credit Ratings & Research



ESG Credit Scores



ESG Classification



Heat Maps

MA Integration



Real Estate Solutions



[Moodys.com](https://www.moodys.com)



Risk Analytics & regulatory reporting



Lending solutions and tools



APIs, and Data Feeds

Moody's ESG Solutions



ESG Measures



Climate Solutions



Index Solutions



SME Solutions



Sustainable Finance

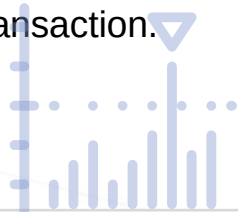
MIS: Four Components to MIS Integration of ESG

New ESG scores will assist in transparently and systematically demonstrating the impact of ESG on credit ratings

Credit Ratings & Research

How is ESG integrated into credit ratings?

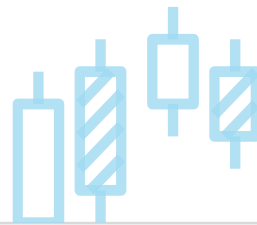
ESG factors taken into consideration for all credit ratings. Greater transparency in press releases, as well as credit opinions. Credit Impact Score (CIS) is an output of the rating process that indicates the extent, if any, to which ESG factors impact the rating of an issuer or transaction.



ESG Credit Scores

How is a specific issuer exposed to ESG risks / benefits?

Issuer Profile Scores (IPS) are issuer-specific scores that assess an entity's exposure to the categories of risks in the ESG classification from a credit perspective. IPSs, where available, are inputs to credit ratings.



ESG Classification

What is ESG?

Our classification reports describe how we define and categorize E, S and G considerations that are material to credit quality. New environmental classification sharpens focus on physical climate risks.



Heat Maps

Is ESG material to credit quality?

Heat maps provide relative ranking of various sectors along the E and S classification of risks.



MA: ESG Integrated into Multiple Offerings



Moody's CreditView

The view that counts

- » ESG & Physical Climate Risk Scores
- » ESG Company and Sector Reports
- » MIS Sector Heatmaps & classifications
- » MIS Entity CTA & CGA scores



ESG Score Predictor

- » Predictor tool using Artificial Intelligence / Machine Learning techniques, for use by customers with their own data
- » ESG benchmark scores
- » 100k+ SME proxy scores



MA Climate Risk Dashboard

- » Climate adjusted scenarios, expected default frequencies (EDFs), spreads and more

Moody's DataHub

- » All of Moody's data on a centralized platform
- » ESG, climate risk and controversy data



REIS Network, Climate Risk Scores

- » Moody's ESG provides REIS network users with aggregated climate risk scores
- » Scores show the climate risk threshold levels for commercial property locations ranging from 'no risk' to 'red flag' or extremely high risk

Moody's ESG Solutions Group

A leader in ESG: providing a range of risk management, equity and credit market solutions



- » Brings together over 30 years of ESG expertise in a single global group
- » Provides data and analytics to MIS, MA and external customers



MESG Current Solution Suite



ESG Measures

- » Data, Scores & Benchmarks
- » Assessments & Research
- » Controversy Monitoring & Alerts
- » Positive/Negative Screening
- » Portfolio Review



Climate Solutions

- » Physical Risk Data & Scores
- » Transition Risk Data & Scores
- » Climate Governance
- » On-Demand Scoring
- » Portfolio Review
- » Regulatory reporting Tools



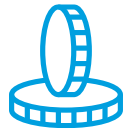
SME Solutions

- » ESG Score Predictor
- » ESG Assessments
- » Portfolio Review



Index Solutions

- » 75+ Indices (Equity & Fixed Income)
- » 10+ Partnerships
- » Benchmarking Data
- » ETFs, Listed & OTC Derivates, Certificates, & Structured Products



Sustainable Finance

- » SPO – Green, Social and Sustainable Bonds
- » SPO – Sustainability-Linked Loans/Bonds
- » Sustainability Ratings
- » CBI Verification



MA Data Hub



API / Web-Services



Client Platforms



Moodys.com



Excel-Add In

Moody's ESG 2020 Snapshot¹



30+
Years of dedicated ESG experience
Pioneering ESG analysis since 1983²



1,900+
MIS research reports
Related to ESG considerations,
60% COVID-related research



100%
Systematic integration of ESG considerations into credit ratings
ESG discussion is now required in all rating committees



5,000+
ESG assessments
Covering 273 unique ESG data points



100,000+
SME Scores
600+ industries in 180+ countries



8,000+
Controversy monitoring & alerts



300+
Global sustainable bonds and loans
Green, social, sustainability bonds and sustainability-linked loans and bonds



10 Million +
Climate Risk Scores
Spanning countries, counties, cities, companies & real estate assets globally



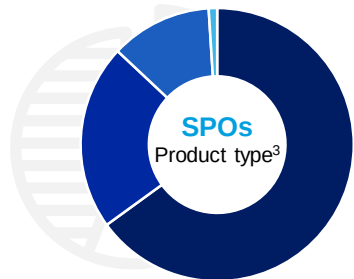
~25
Regulatory consultations
On ESG matters



220+
ESG events and speaking engagements
Related to ESG considerations, over 5,000 attendees



4
Awards in the ESG & Climate space



65%
Green Bonds

22%
Sustainability Bonds

12%
Social bonds

1%
Other



57%
Corporates

22%
Banks & Insurance

6%
Local Authorities

6%
Public Entities

4%
Sovereign

3%
Public Utilities

2%
Other



Forefront of Innovation in SPO's:

- 1st Sustainability Linked Convertible Bond
- 1st Sustainability Linked Airline Loan
- 1st Sustainability Linked Sukuk
- 1st Sustainability Linked Bond in the US
- 1st Gender Focused Social Bond in Columbia
- 1st Social Bonds in Brazil
- 1st Sovereign SDG Bond
- 1st Airline Sustainability Linked Bond
- 1st Green Sukuk in N. Africa/Middle East

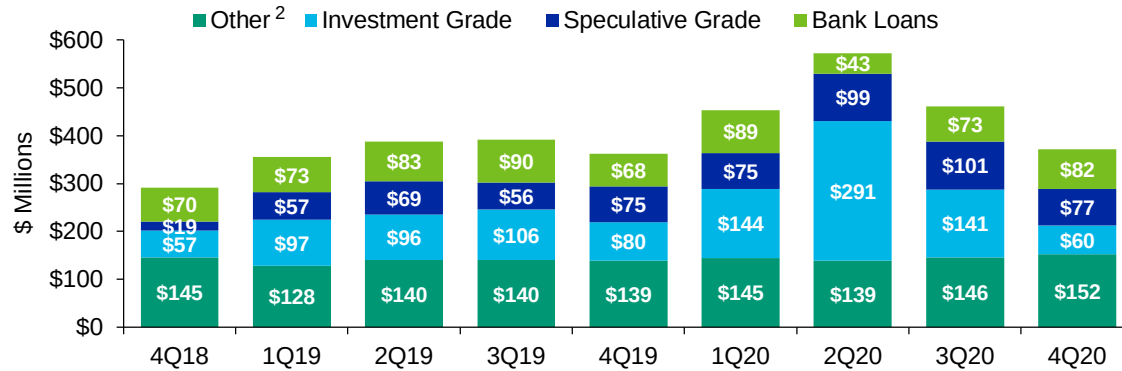
1. Data as of December 31, 2020.
2. Conducted by Moody's affiliate V.E.
3. Source: V.E.

7

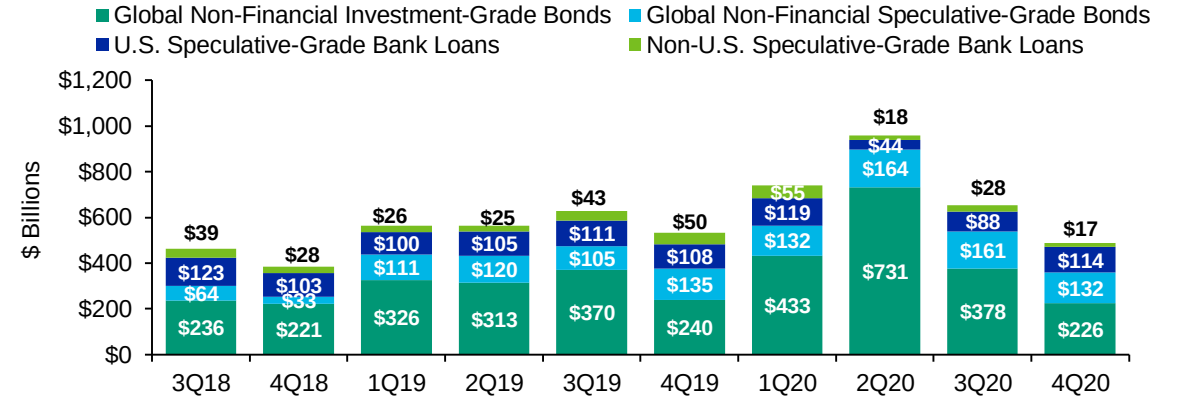
Appendix

Corporate Finance: Revenue and Issuance¹

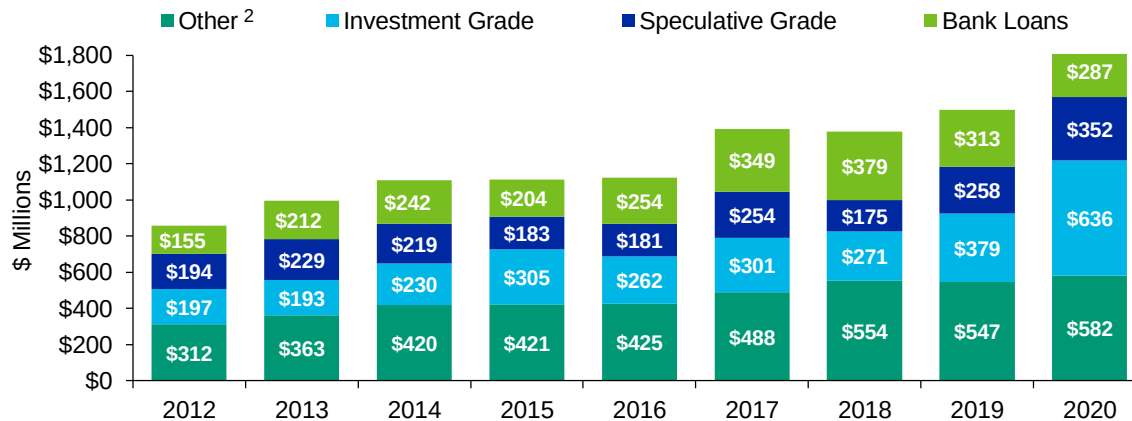
Revenue²: Mix by Quarter



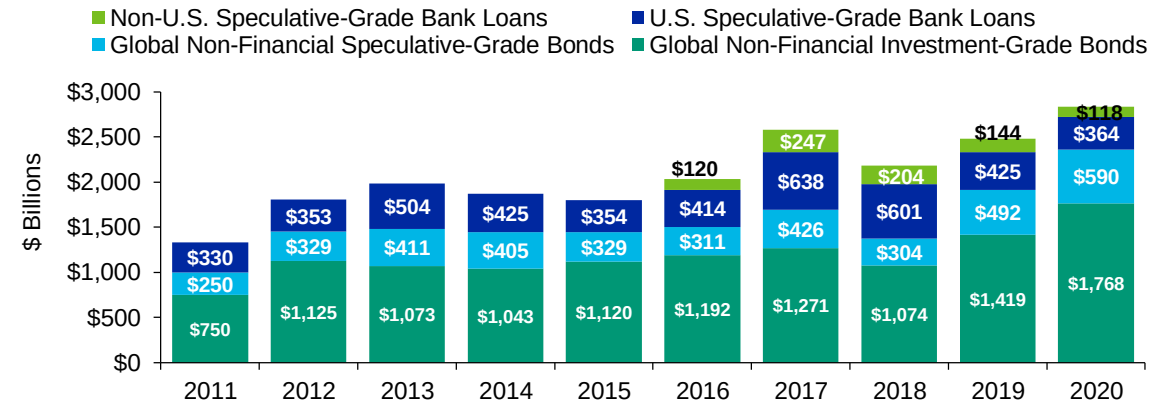
Issuance⁴: Mix by Quarter



Revenue²: Mix by Year



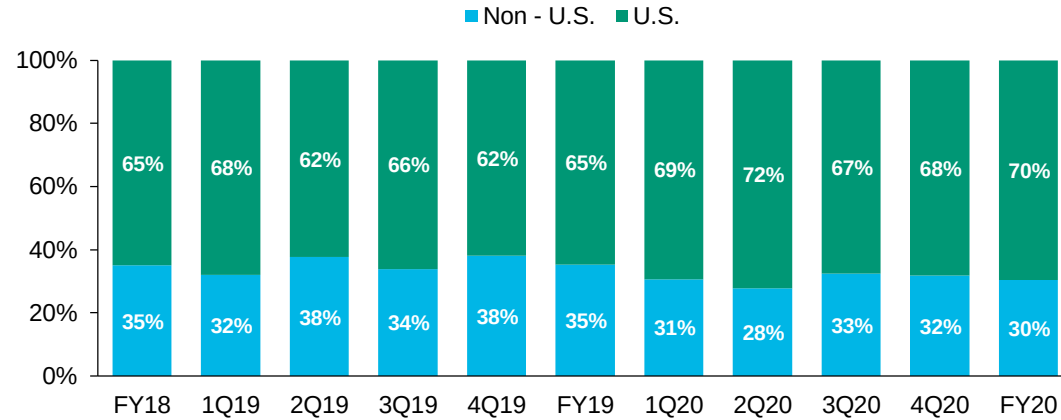
Issuance⁴: Mix by Year



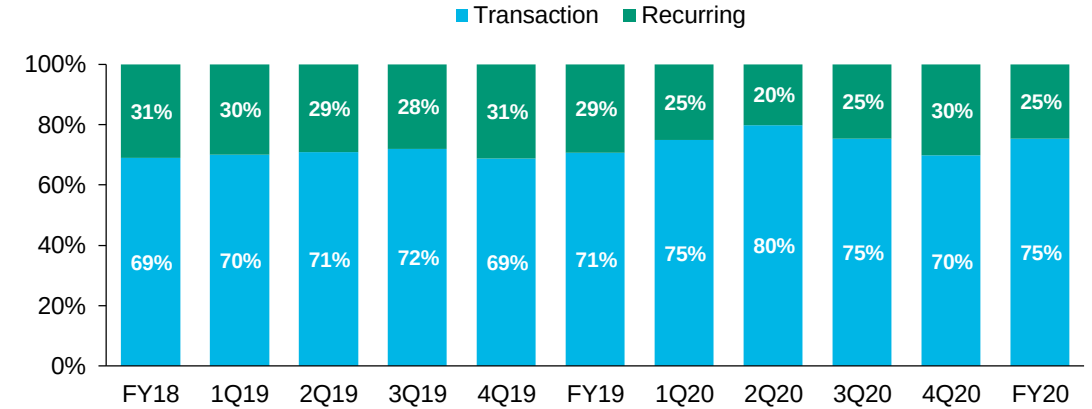
1. Total estimated market issuance unless otherwise noted.
2. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected starting from 1Q 2018.
3. Other includes: monitoring, commercial paper, medium term notes, and ICRA.
4. Sources: Moody's Analytics, Dealogic. U.S. and Non-U.S. Speculative-Grade Bank Loans represent only Moody's rated speculative-grade bank loans. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

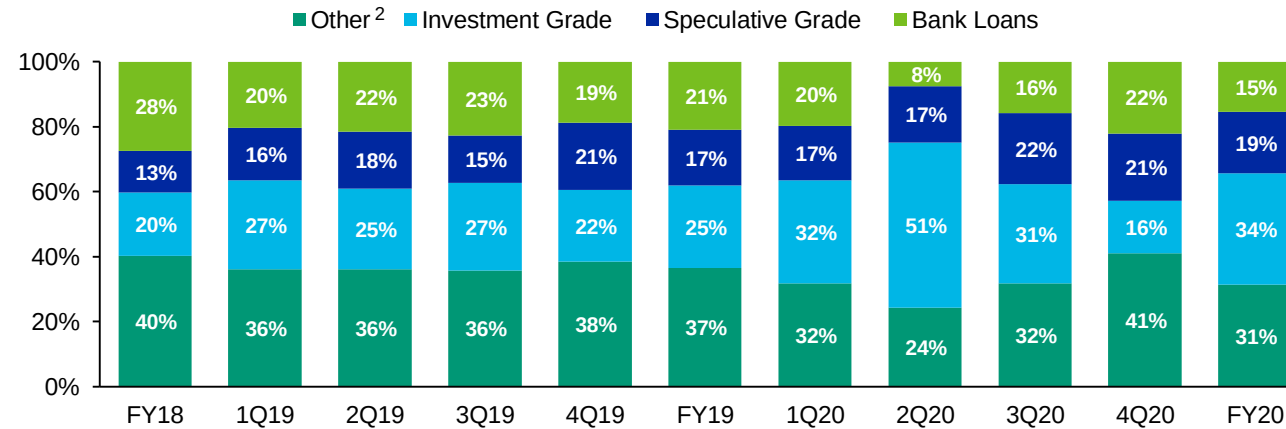
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



Revenue¹: Distribution by Product



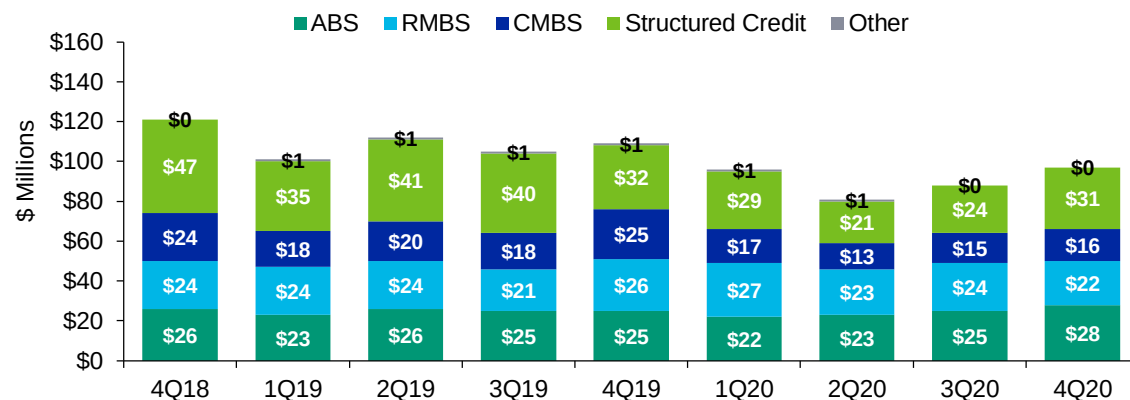
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs from Corporate Finance to Structured Finance is reflected starting from 1Q 2018.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

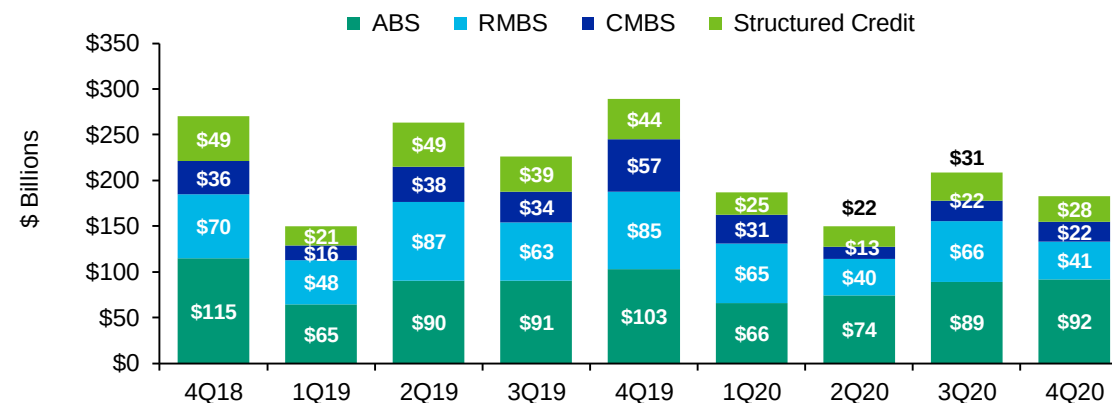
Note: Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance¹

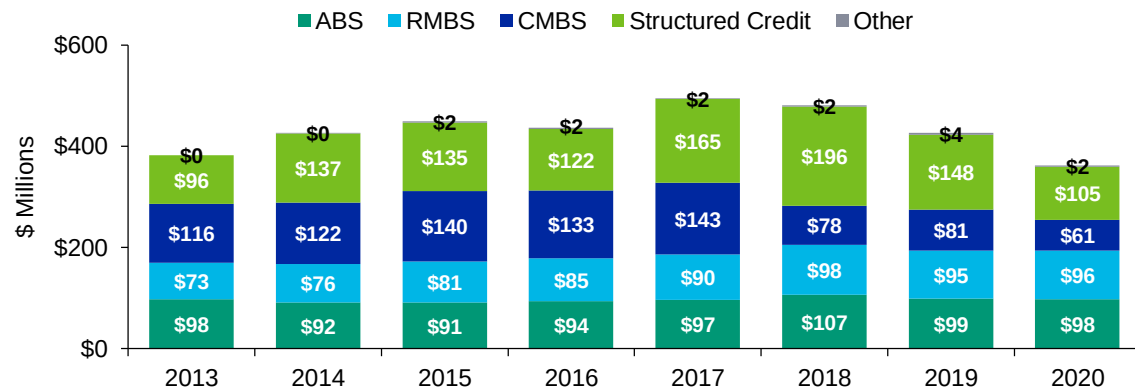
Revenue²: Mix by Quarter



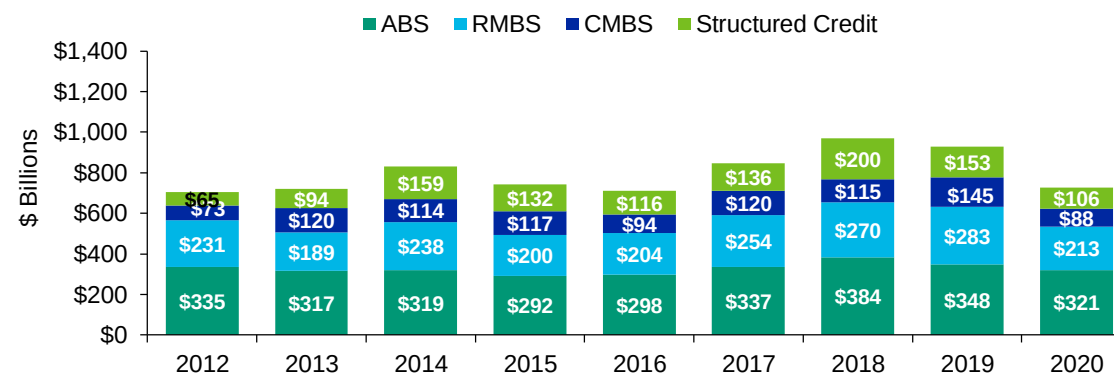
Issuance³: Mix by Quarter



Revenue²: Mix by Year



Issuance³: Mix by Year



1. Total estimated market issuance unless otherwise noted.

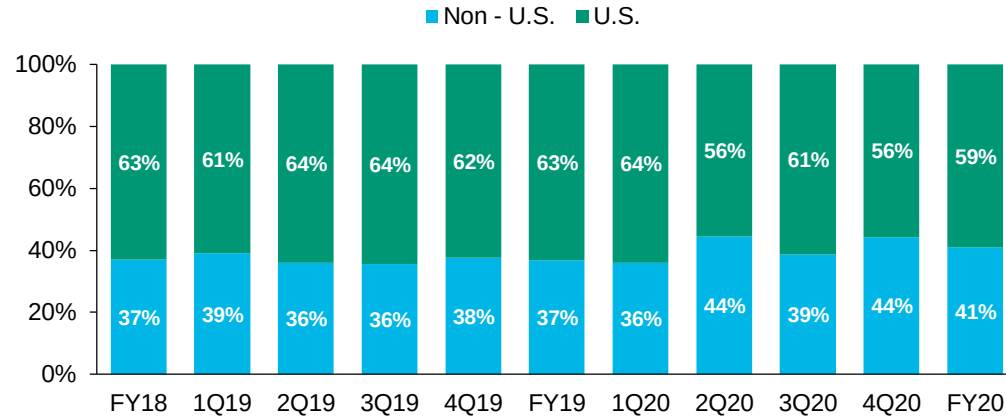
2. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected starting from 1Q 2018.

3. Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

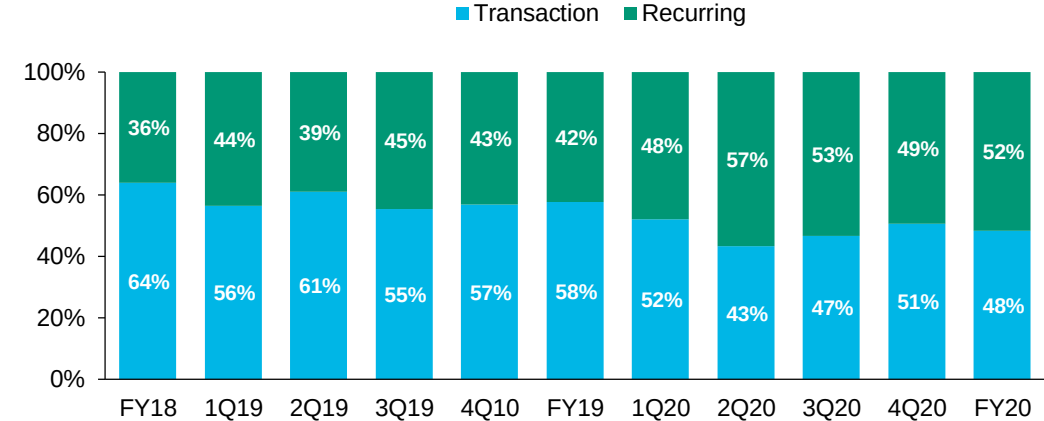
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CMBS includes commercial mortgage-backed securities and commercial real estate CDOs. Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

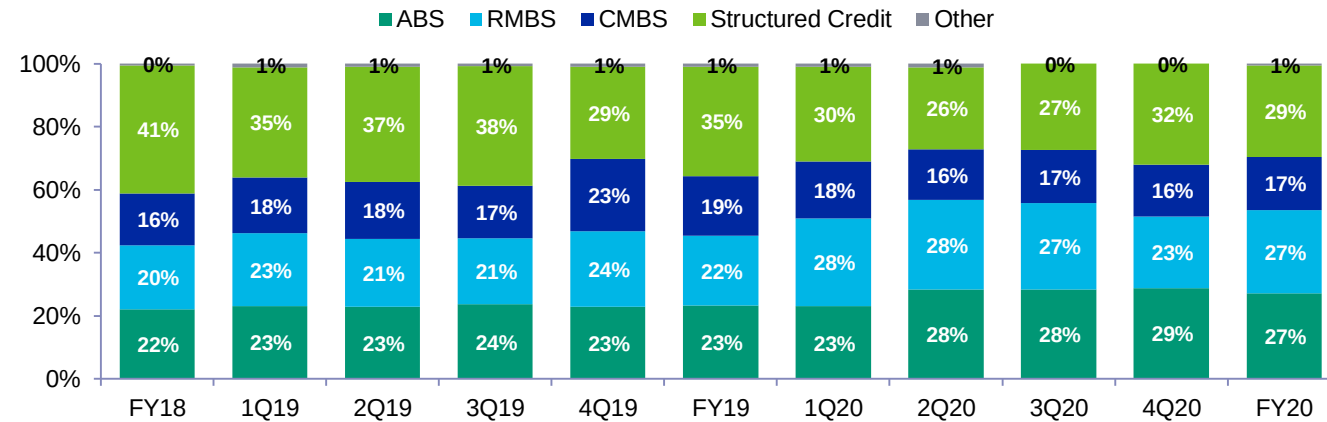
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



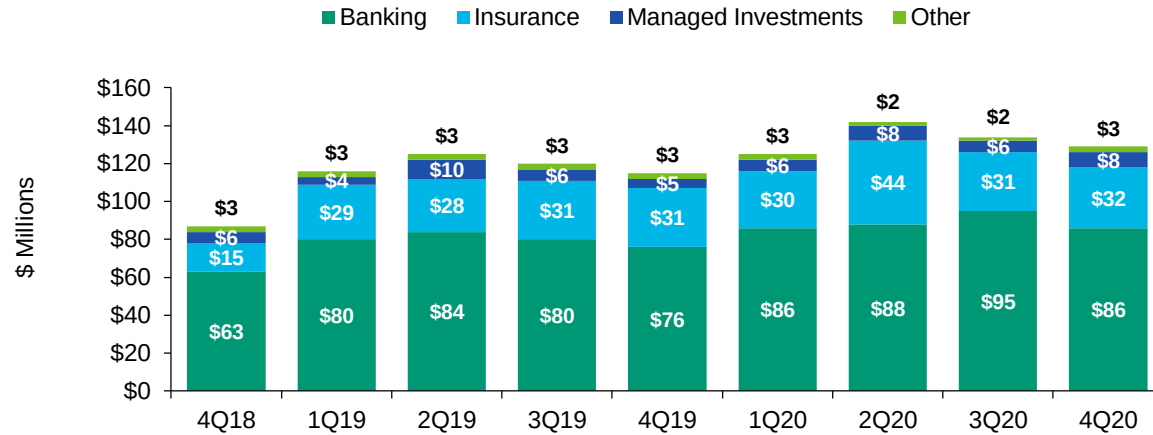
Revenue¹: Distribution by Product



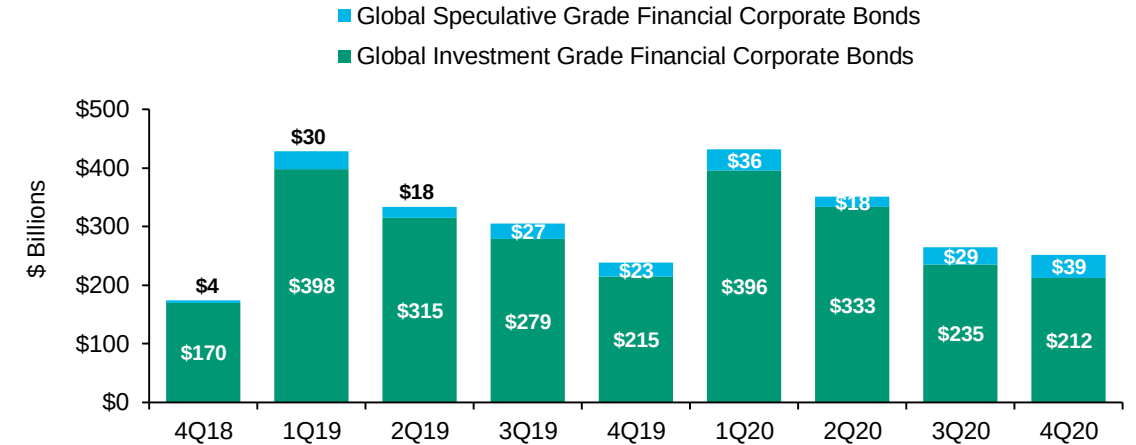
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected starting from 1Q 2018.
 Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CMBS includes commercial mortgage-backed securities and commercial real estate CDOs. Structured Credit includes CLOs and CDOs.
 Percentages have been rounded and may not total to 100%.

Financial Institutions: Revenue and Issuance¹

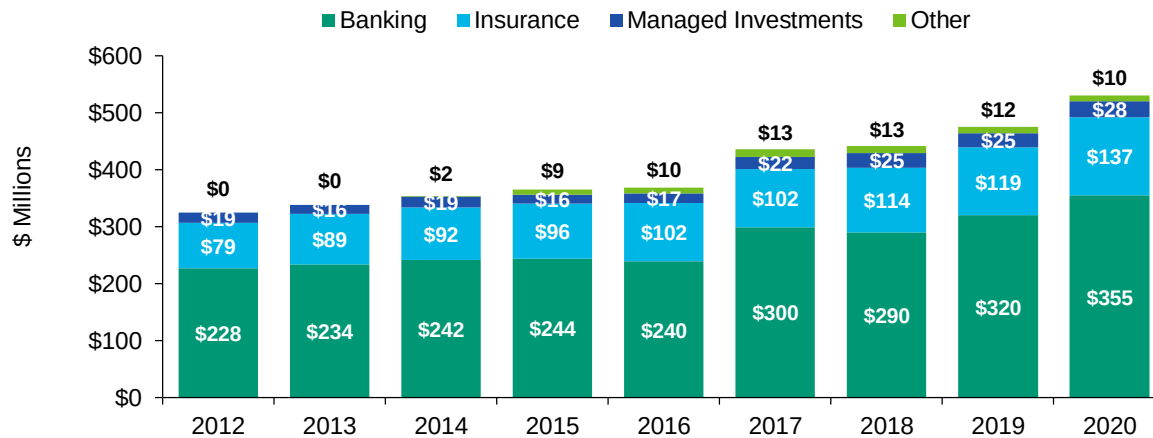
Revenue²: Mix by Quarter



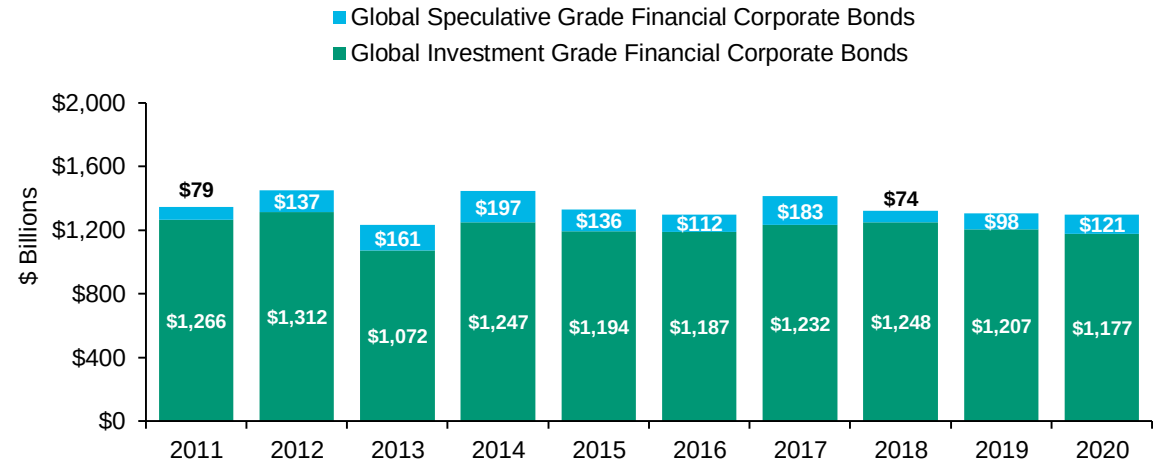
Issuance³: Mix by Quarter



Revenue²: Mix by Year



Issuance³: Mix by Year



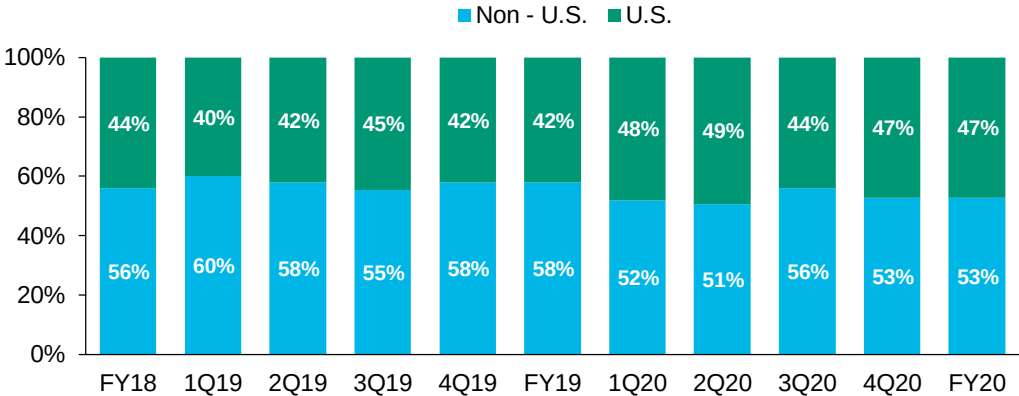
1. Total estimated market issuance unless otherwise noted.

2. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

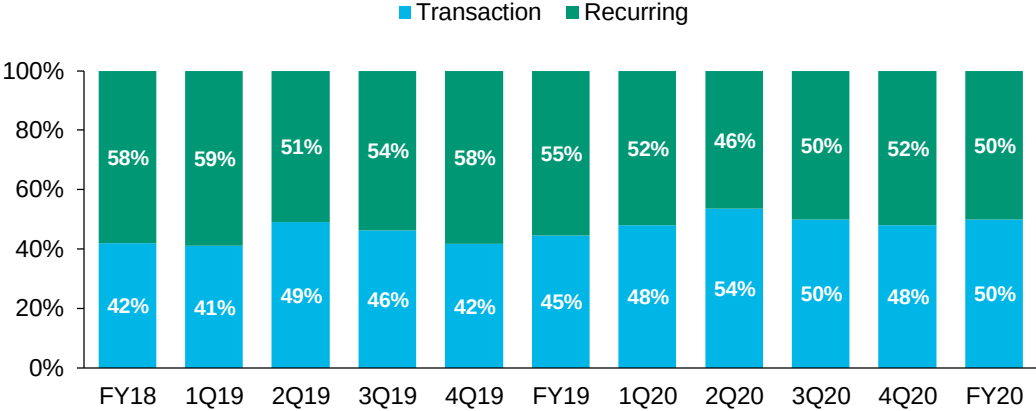
3. Sources: Moody's Analytics, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

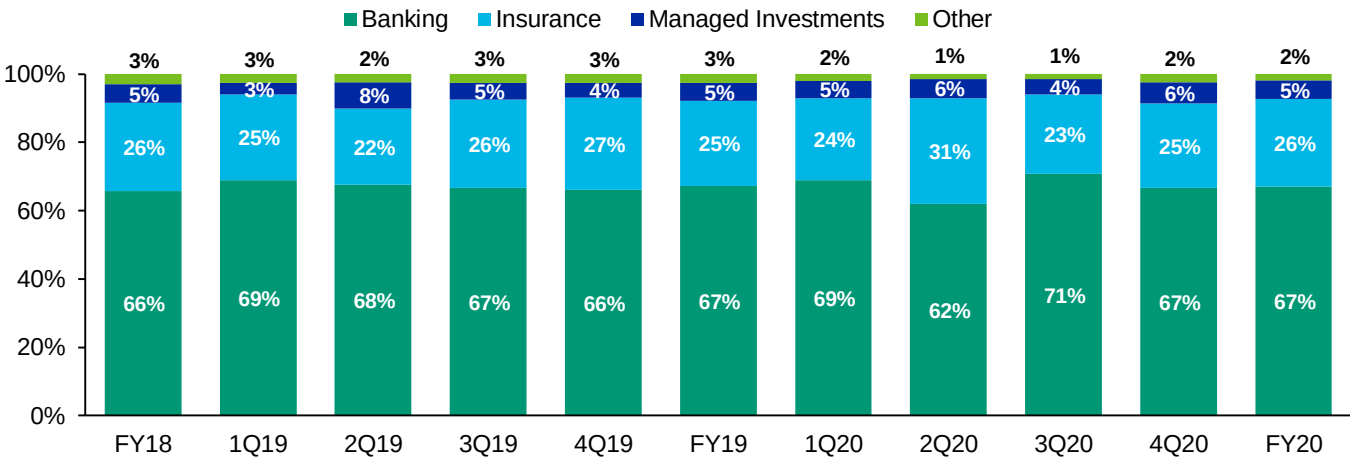
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



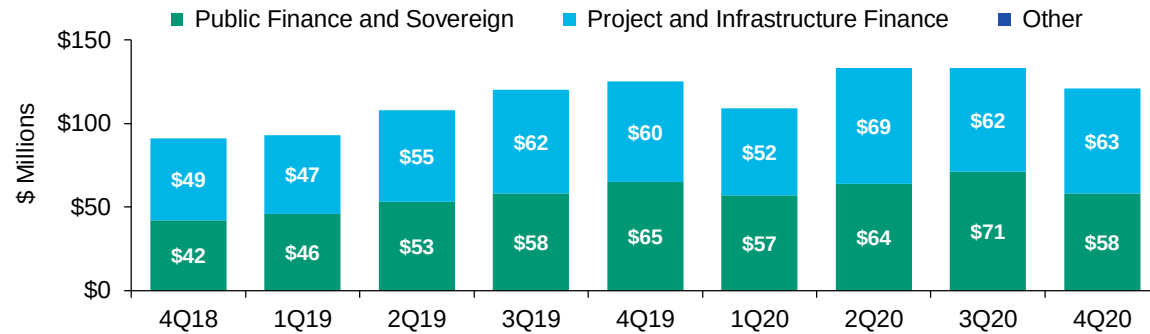
Revenue¹: Distribution by Product



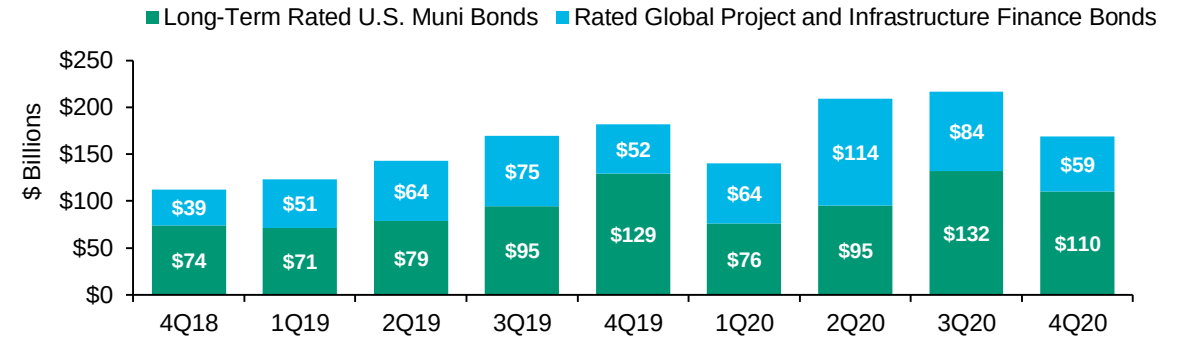
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.
 Note: Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance¹

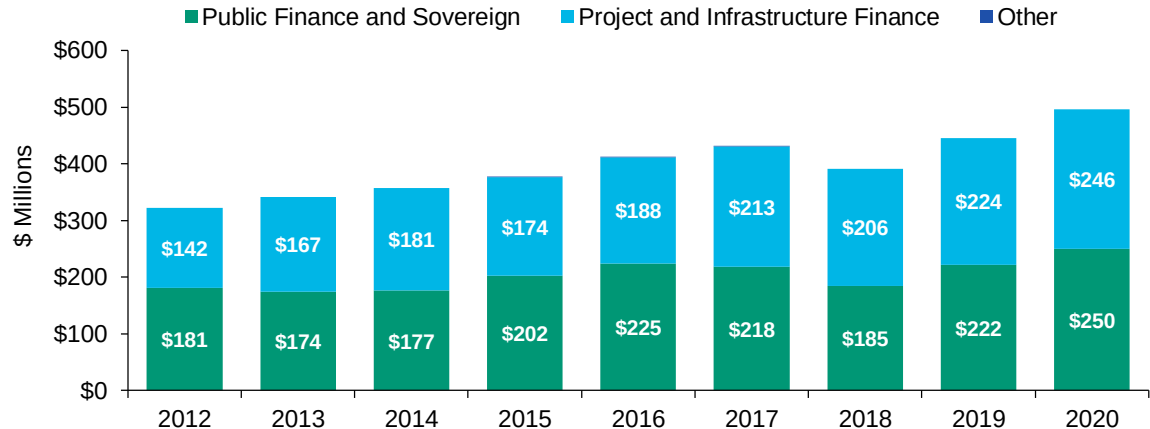
Revenue²: Mix by Quarter



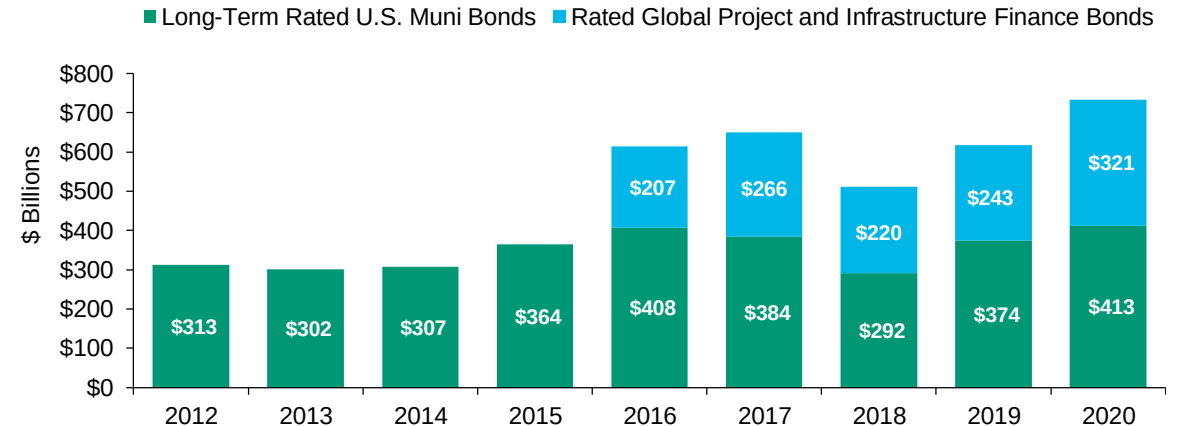
Issuance³: Mix by Quarter



Revenue²: Mix by Year



Issuance³: Mix by Year



1. Total estimated market issuance unless otherwise noted.

2. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

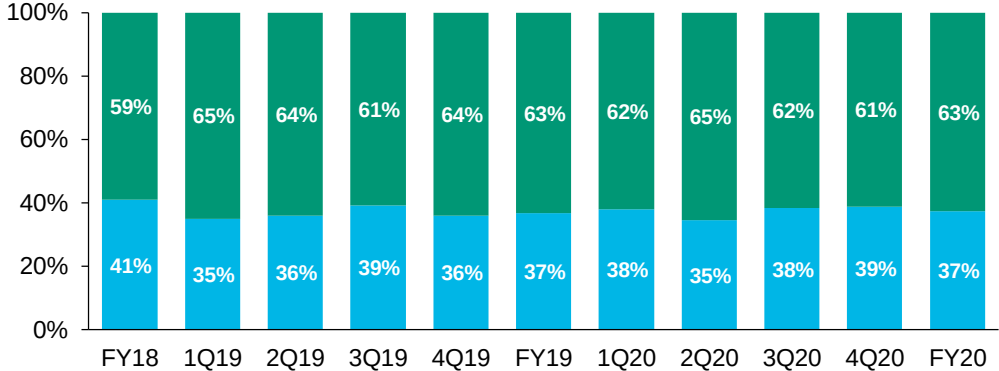
3. Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.

Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

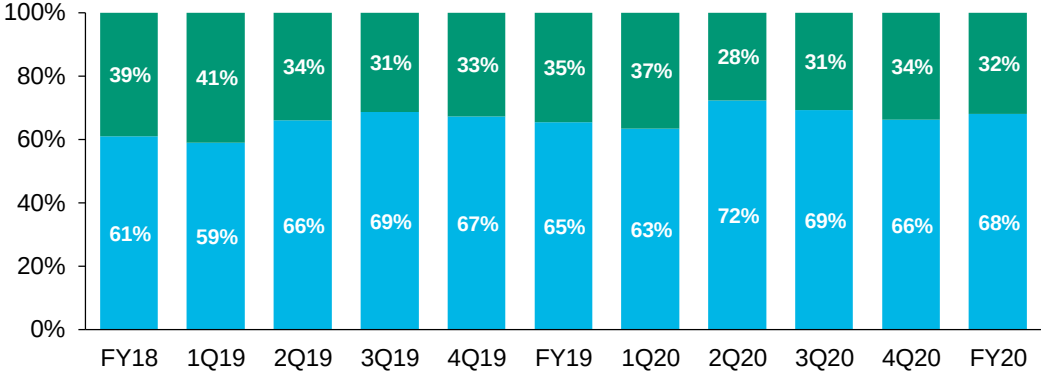
Revenue¹: Distribution by Geography

■ Non - U.S. ■ U.S.



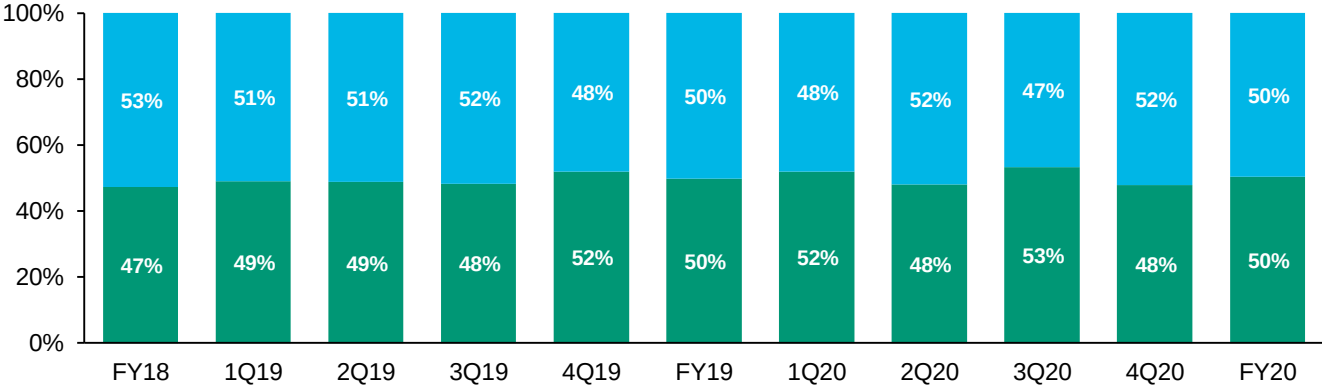
Revenue¹: Distribution by Recurring vs. Transaction

■ Transaction ■ Recurring



Revenue¹: Distribution by Product

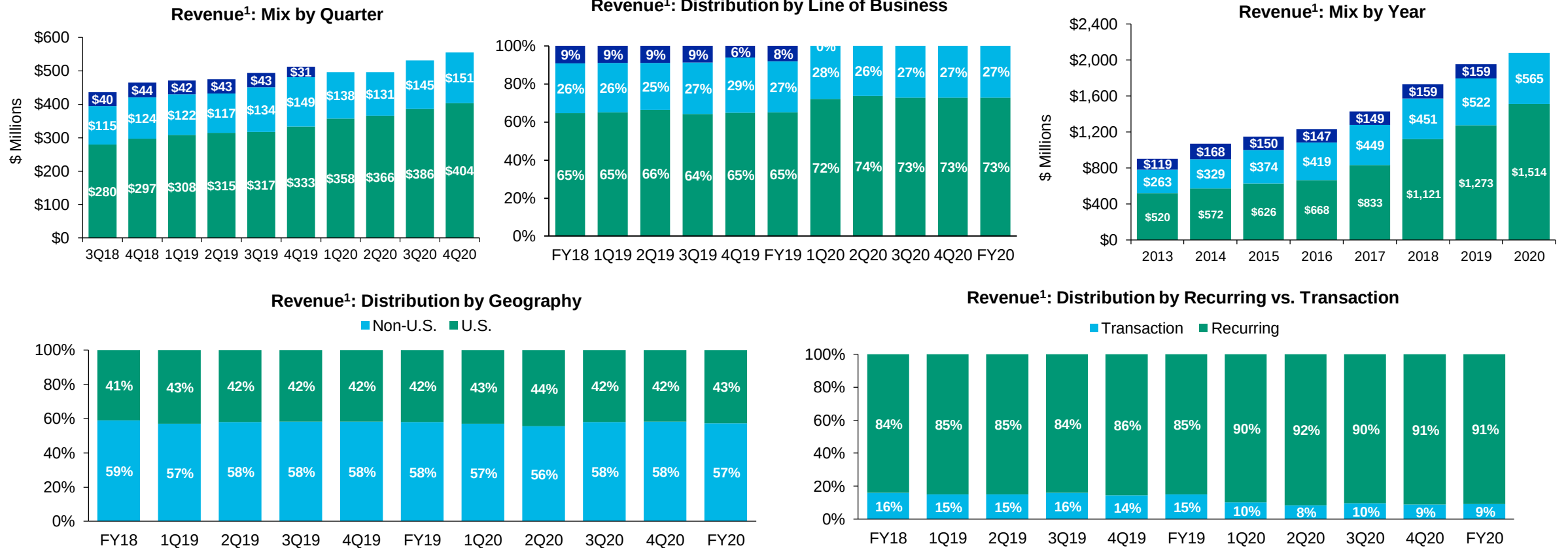
■ Public Finance and Sovereign ■ Project and Infrastructure Finance ■ Other



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.
Note: Percentages have been rounded and may not total to 100%.

Moody's Analytics: Financial Overview

■ Professional Services ■ Enterprise Risk Solutions ■ Research, Data and Analytics

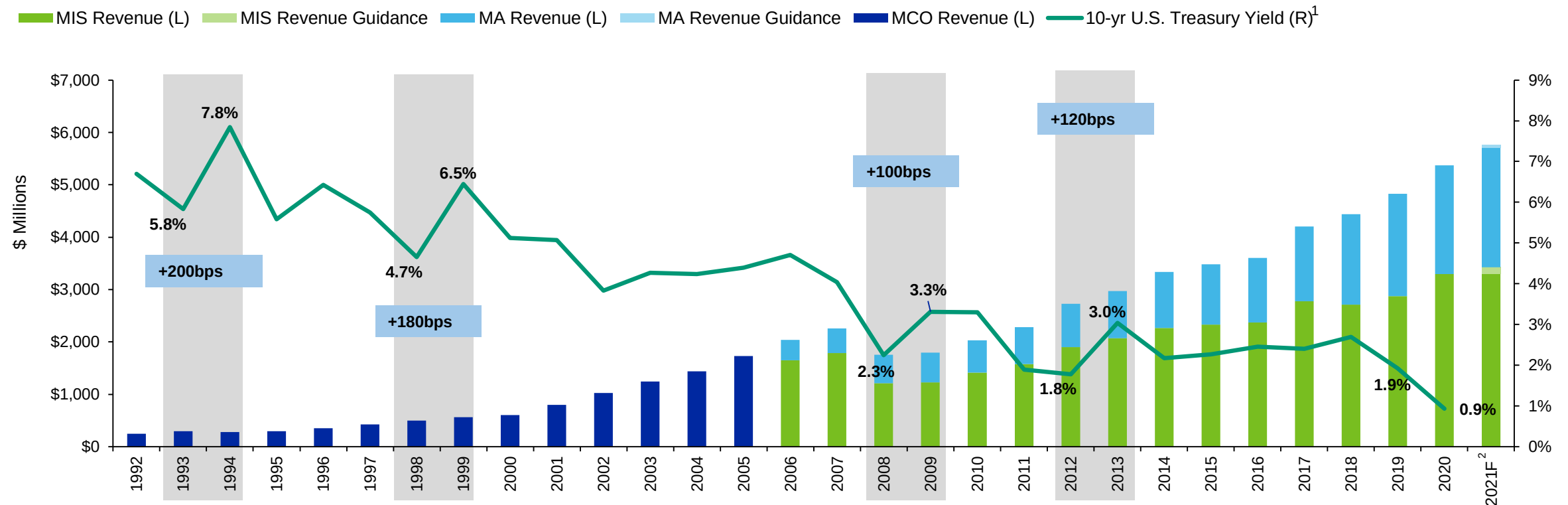


1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Research, Data and Analytics includes Bureau van Dijk revenue beginning from the acquisition close date, August 10, 2017. The revenue reclassification of the FACT product from RD&A to ERS is reflected starting from 1Q 2018. Subsequent to the divestiture of MAKs in 2019, revenue from the Moody's Analytics Learning Solutions ("MALS") unit, which previous to 2020 was reported in the Professional Services line of business ("LOB"), will now be reported as part of the RD&A LOB.

Note: Percentages have been rounded and may not total to 100%.

Historically, Moody's Revenue and Interest Rates Have Not Been Strongly Correlated

MCO Revenue and Interest Rates



Note: Gray bars reflect periods of significant increases in the 10-year Treasury Yield.

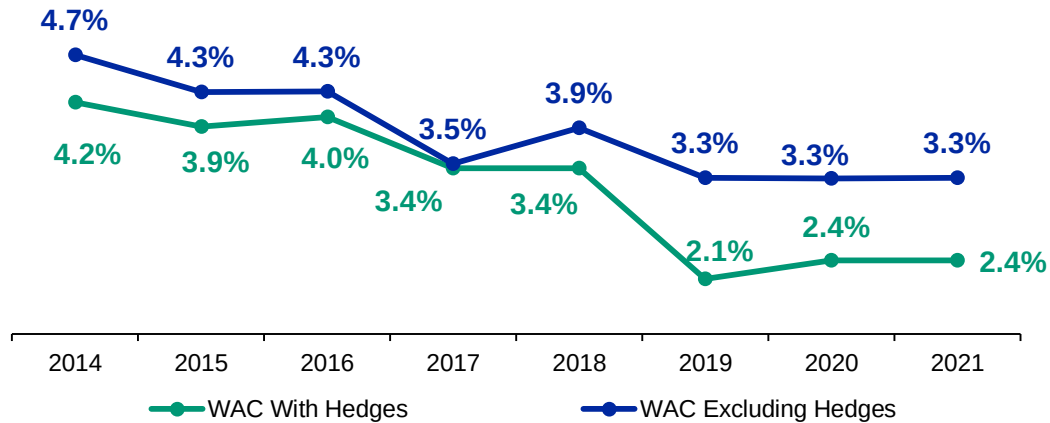
1. 10-yr U.S. Treasury Yields are represented by the rate at the end-of-period.

2. Guidance as of February 12, 2021.

Source: www.treasury.gov.

Proactive Capital and Liquidity Management

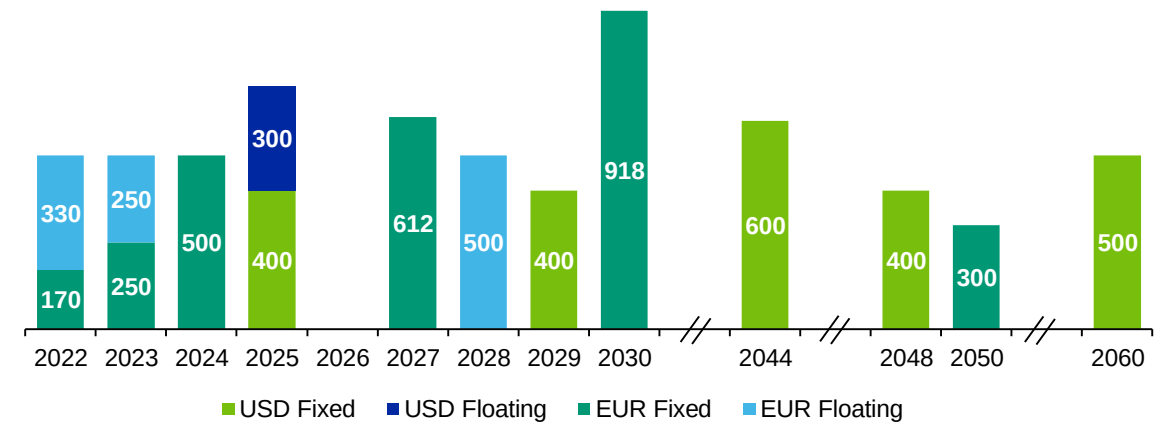
Bond portfolio WAC¹



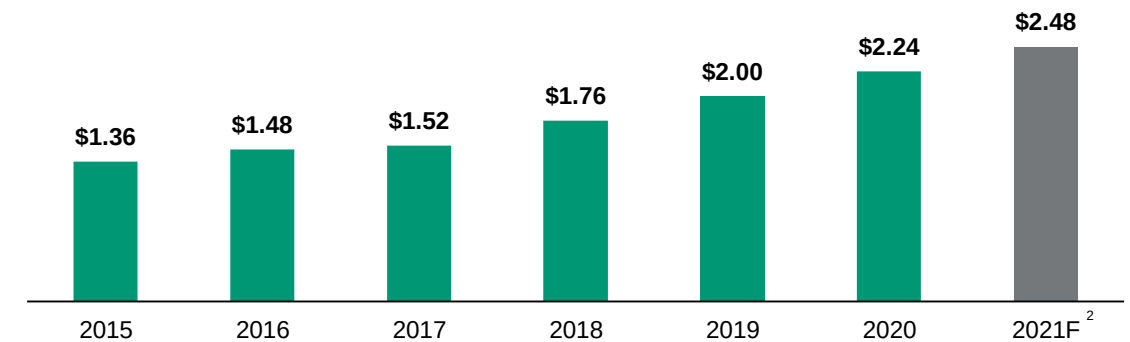
- » Strong liquidity with \$2.7B in cash and short-term investments, and a \$1.0B revolving credit facility²
- » 1.4x net debt to adjusted operating income³
- » Leverage well below maximum 4.5x net debt/EBITDA covenant⁴

Balanced maturity schedule⁵

\$ in millions



Annualized Dividend Per Share



1. WAC = Weighted Average Coupon. 2014-2020 data as of year-end. 2021 data as of January 31, 2021.

2. As of December 31, 2020.

3. Trailing twelve months adjusted operating income. Amounts are adjusted measures, see Appendix for reconciliations from adjusted financial measures to U.S. GAAP and gross debt to net debt.

4. Total Debt (gross debt less \$100M of cash and equivalents) to EBITDA ratio threshold is normally 4.0x, but elevated to 4.5x for three quarters after an acquisition >\$500 million.

5. Certain USD denominated debt has been synthetically converted to EUR via cross-currency swaps. EUR converted to USD as of December 31, 2020.

Drivers of Sustainable Corporate Value

Sustainability Disclosures in our Public Filings



ENVIRONMENTAL



SOCIAL



GOVERNANCE



ENVIRONMENTAL

- » Focused on reducing greenhouse gas emissions with science-based targets¹ on our path to net-zero
 - Published [Moody's Decarbonization Plan](#)
 - Became the first S&P 500 Company to join the “Say on climate campaign” that focuses on:
 - › Corporate disclosure of emissions
 - › Allow for shareholder vote on the decarbonization plan during the Annual General Meeting
- » Committed to remaining carbon neutral on an annual basis and retroactively since September 2000²
- » Disclose full green house gas inventory including scope 1, 2 and all relevant scope 3 categories
- » Procuring 100% renewable electricity for our global operations
- » Moody's and its subsidiaries engages with a multitude of Sustainability parties that develop standards or frameworks and/or evaluate and assess performance
 - CDP - Awarded A score
 - › CDP Climate
 - › CDP Supplier Engagement Rating (SER)
 - Task Force on Climate-related Financial Disclosures ([TCFD](#))
 - Sustainability Accounting Standards Board ([SASB](#))
 - Global Reporting Initiative (GRI)

1. The Science Based Targets initiative is a collaboration between CDP, UNGC, World Resources Institute (WRI), and the World Wide Fund for Nature (WWF), that is seeking to reduce corporate GHG emissions.

2. To be completed by 2040 through the purchase of verified carbon offsets.

Drivers of Sustainable Corporate Value

Sustainability Disclosures in our Public Filings



ENVIRONMENTAL



SOCIAL



GOVERNANCE



SOCIAL

- » Support a diverse, equitable and inclusive workplace
- » Launched [DE&I](#) portal
- » Active global community and philanthropic involvement
 - Committed \$2 million to support equal justice and educational opportunities
- » Recognized by *Working Mother's* list of 100 Best Companies for the 5th year in a row
- » Robust data security and privacy practices
- » Fair compensation practices and benefits packages
- » Employee training and up skilling
- » Provide employee health and well being policies and programs



GOVERNANCE

- » Professional integrity
- » Systematic risk management
- » Diverse Board membership and skill sets
- » Separate CEO and Chairman positions
- » Implementation of Lead Independent Director within the board
- » Active stockholder engagement
- » Completed a materiality assessment to identify the most salient sustainability issues

Executive compensation metrics include¹:

- » Members of the executive leadership team are evaluated against environmental, diversity and inclusion plans and initiatives
- » Moody's Corporation EPS and operating income
- » MIS operating income and ratings performance
- » MA operating income and sales
- » Strategic and operational²

1. While the Company reports its financial results in accordance with GAAP, financial performance targets and results under the Company's incentive plans are based on adjusted financial measures. These metrics and the related performance targets are relevant only to Moody's executive compensation program and should not be used or applied in other contexts.

2. This measure is a qualitative assessment of strategic and operational metrics tied to key non-financial business objectives, such as sustainability goals, that contribute to the Company's business success and are certified by the Compensation & Human Resources Committee at the beginning of the performance period. The Committee assessed the achievement of the metric by evaluating performance against the following objectives: (i) business focus and innovation and growth; (ii) people and culture; (iii) operating effectiveness and efficiency; and (iv) quality and risk management.

Technology: Innovating with Purpose

Next Gen Tech is a Defining Element of our Culture, Setting Stage for Growth



Enhance Data & Analytics

- » Incorporating **alternative data** sources to augment SME credit scoring accuracy
- » *QuantCube* pilot program to synthesize **unstructured data** to enhance financial analysis
- » *CompStak*'s use of **crowd-sourced data** on CRE leases and sales



Improve Decisions

- » **NLP** based early warning and monitoring tools for MIS analysts and MA customers
- » **AI** tailored credit training for MA customers – *Credit Coach*
- » Faster loan approvals with **AI** powered lending decisions – *CreditLens*



Deliver Efficiencies

- » **ML and deep learning** tools to automate financial data spreading at both MA and MIS
 - Award-winning **QUIQspread** solution is trained on the financials of more than 22 million companies
- » **AI and NLP** used to generate credit reports on 6,000 municipal issuers
- » **RPA** of manual, repeatable tasks within MIS

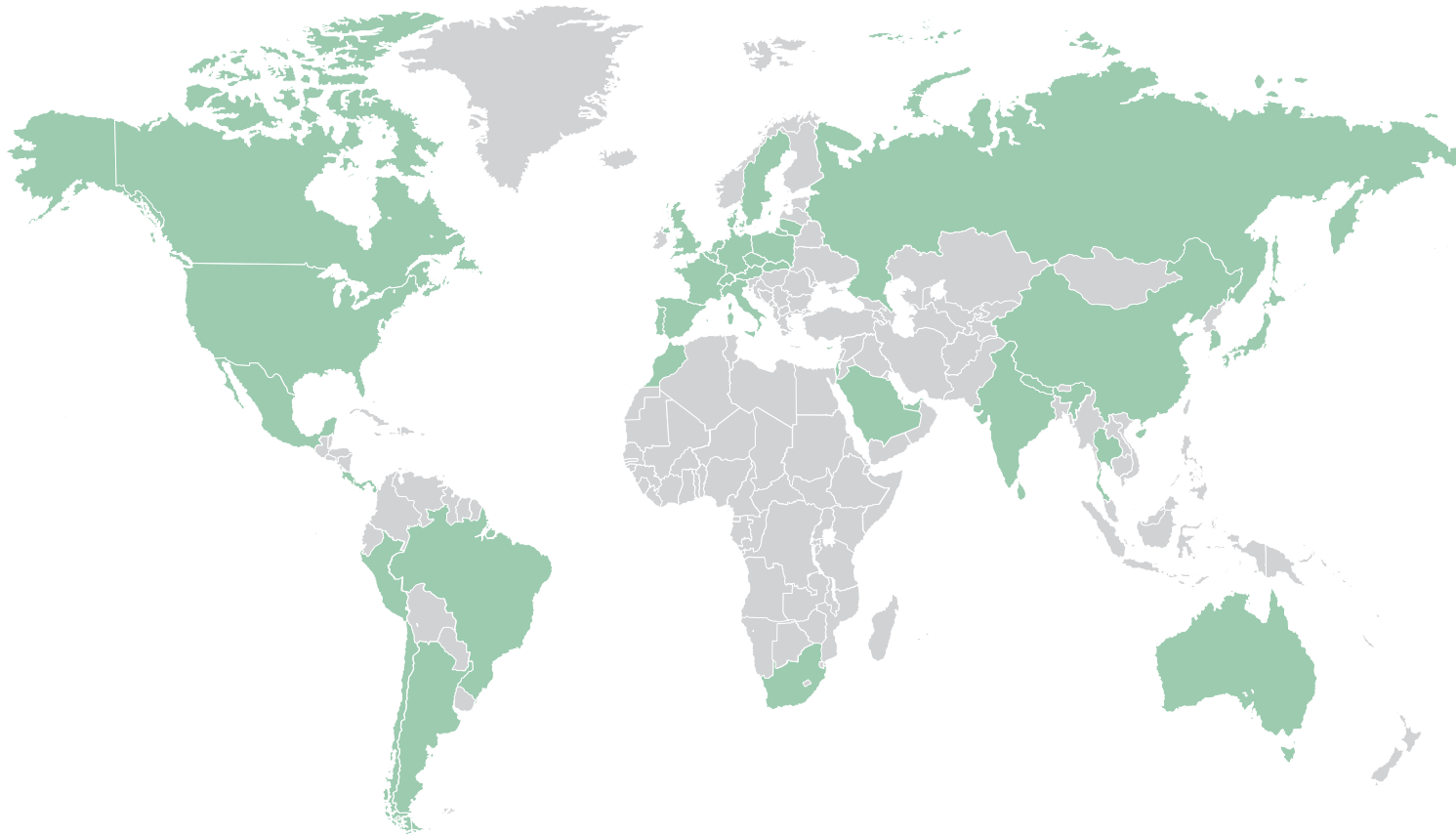


Increase Adaptability

- » **SaaS** accelerating product development and improving customer experience
 - Moody's **DataHub** enables its user to explore, analyze and consume information from across Moody's on a cloud-based platform
- » Leveraging **PaaS** to experiment with application of tools and techniques -- **blockchain** and **big data**
- » Moody's IT moving to **IaaS** to expand capabilities and lower costs

Note: AI: Artificial Intelligence; ML: Machine learning; NLP: Natural language processing; RPA: Robotic process automation; IaaS: Infrastructure-as-a-service; SaaS: Software-as-a-service; PaaS: Platform-as-a-service.

Moody's Global Presence



Americas

Argentina Mexico
Brazil Panama
Canada Peru
Chile United States
Costa Rica

Europe, Middle East & Africa

Austria Poland
Belgium Portugal
Cyprus Russia
Czech Republic Saudi Arabia
Denmark Slovak Republic
France South Africa
Germany Spain
Israel Sweden
Italy Switzerland
Lithuania United Arab Emirates
Morocco United Kingdom
Netherlands

Asia-Pacific

Australia Nepal
China Singapore
Hong Kong South Korea
India Thailand
Japan Sri Lanka

2020	4,225	+	7,265	=	11,490
	U.S. employees		non-U.S. employees		total employees ¹

2019	3,908	+	7,173	=	11,081
	U.S. employees		non-U.S. employees		total employees ²

1. As of December 31, 2020. Reflects acquisition of RDC, Acquire Media and ZM.

2. As of December 31, 2019. Reflects acquisition of VE, Four Twenty Seven, Risk First, ABS Suite and divestiture of MAKs.

Reconciliation of Adjusted Financial Measures to GAAP

Moody's Corporation Adjusted Operating Income and Adjusted Operating Margin Reconciliation¹

(in \$ millions)	2015	2016	2017	2018	2019	2020
Operating Income	\$1,491	\$651	\$1,821	\$1,868	\$1,998	\$2,388
Operating Margin	42.8%	18.1%	43.3%	42.0%	41.4%	44.5%
Add Adjustment:						
Depreciation & Amortization	114	127	158	192	200	220
Acquisition-Related Expenses	-	-	23	8	3	-
Restructuring	-	12	-	49	60	50
Captive insurance company settlement	-	-	-	-	16	-
Settlement Charge	-	864	-	-	-	-
Loss pursuant to the divestiture of MAKs	-	-	-	-	14	9
Adjusted Operating Income	\$1,605	\$1,654	\$2,002	\$2,117	\$2,291	\$2,667
Adjusted Operating Margin	46.0%	45.9%	47.6%	47.6%	47.4%	49.7%

Moody's Corporation Net Debt Reconciliation

(in \$ millions)	2015	2016	2017	2018	2019	2020
Gross debt	\$3,381	\$3,363	\$5,540	\$5,676	\$5,581	\$6,422
Less: Cash, cash equivalents and short-term investments	2,232	2,225	1,183	1,818	1,930	2,696
Net debt	\$1,148	\$1,138	\$4,357	\$3,858	\$3,651	\$3,726

Note: Some numbers may not foot due to rounding.

1. 2015 - 2017 operating and adjusted operating income have been restated to conform to the new presentation of pension accounting.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Operating Margin Guidance Reconciliation

	2021F ¹
Projected Operating Margin - GAAP	Approximately 45%
Depreciation & Amortization	Approximately 4.5%
Restructuring	Negligible
Projected Adjusted Operating Margin	49 - 50%

Free Cash Flow Reconciliation

(in \$ millions)	2016	2017	2018	2019	2020	2021F ¹
Net cash flows from operating activities	\$1,259	\$755	\$1,461	\$1,675	\$2,146	\$2,000 - \$2,200
Less: Capital expenditures	115	91	91	69	103	~100
Free Cash Flow	\$1,144	\$664	\$1,370	\$1,606	\$2,043	\$1,900 - \$2,100

1. Guidance as of February 12, 2021.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Diluted EPS Reconciliation

	2015	2016	2017	2018	2019	2020	2021F ¹
Diluted EPS - GAAP	\$4.63	\$1.36	\$5.15	\$6.74	\$7.42	\$9.39	\$9.70 – \$10.10
Legacy Tax	(0.03)	-	-	-	-	-	-
Impact of Litigation Settlement	-	\$3.59	-	-	-	-	-
Captive insurance company settlement	-	-	-	-	\$0.06	-	-
ICRA Gain	-	-	-	-	-	-	-
FX gain on liquidation of a subsidiary	-	(\$0.18)	-	-	-	-	-
Restructuring	-	\$0.04	-	\$0.19	\$0.23	\$0.20	~\$0.02
CCXI Gain	-	-	(\$0.31)	-	-	-	-
Acquisition-Related Expenses	-	-	\$0.10	\$0.03	\$0.02	-	-
Purchase Price Hedge Gain	-	-	(\$0.37)	-	-	-	-
Acquisition-Related Intangible Amortization Expenses	\$0.11	\$0.13	\$0.23	\$0.40	\$0.42	\$0.51	~\$0.58
Loss pursuant to the divestiture of MAKs	-	-	-	-	\$0.07	\$0.05	-
Impact of U.S. tax reform	-	-	\$1.28	(\$0.30)	-	-	-
Net Impact of U.S./European tax change on deferred taxes	-	-	(\$0.01)	-	-	-	-
Increase to non-U.S. UTPs	-	-	-	\$0.33	-	-	-
Tax charge pursuant to the divestiture of MAKs	-	-	-	-	\$0.07	-	-
Adjusted Diluted EPS	\$4.71	\$4.94	\$6.07	\$7.39	\$8.29	\$10.15	\$10.30 - \$10.70

1. Guidance as of February 12, 2021.

Note: Table may not sum to total due to rounding.

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